

Absa Bank Kenya PLC

Sustainability and Climate Report 2025

Building tomorrow together

Your story matters

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About this report

About this report

This Sustainability and Climate Report for Absa Bank Kenya PLC cover the financial year from January 1 to December 31, 2025, and complements the Annual Integrated Report for that period.

Introduction

The Sustainability and Climate Report present an in-depth overview of our approach to managing environmental, social, and governance (ESG) issues. This report presents our strategies, performance metrics, and progress relating to sustainability and climate risks and opportunities, including major initiatives and quantifiable results. Stakeholders will gain access to information regarding our sustainability objectives, updates on prior targets, and key accomplishments that demonstrate our commitment to responsible business conduct and sustained stakeholder value.

At Absa Kenya, we model our ESG risk management practices after our parent company, Absa Group Limited from South Africa, adapting these strategies to suit the Kenyan market.

This report is available for download on the Absa Bank Kenya's website – ***www.absabank.co.ke.*** For any enquiries, please contact the Bank's sustainability team on ***sustainability.KE@absa.africa***

Intended audience and stakeholder groups

This report has been prepared for all relevant stakeholders. Stakeholders include, but are not limited to, existing and prospective customers, investors, employees, suppliers, government entities, regulatory authorities, non-governmental organisations, and the communities in which we operate.

Consolidation of report

We have consolidated our sustainability and climate reports into a single report to provide a unified view of our sustainability and climate performance.

About the theme

The theme of Absa Kenya's 2025 Sustainability and Climate Report, ***Building tomorrow together,*** aligns with our organisational purpose and reflects our objective to empower stakeholders in realising their goals while generating positive impact. At Absa Kenya, sustainability and climate considerations are integral to our business strategy. By addressing these challenges, we identify opportunities that reinforce our commitment to a sustainable future. The management of existing and potential sustainability and climate-related risks is steered by the 13 sustainability commitments established in 2020 as part of our overarching sustainability strategy.

Scope and reporting boundaries

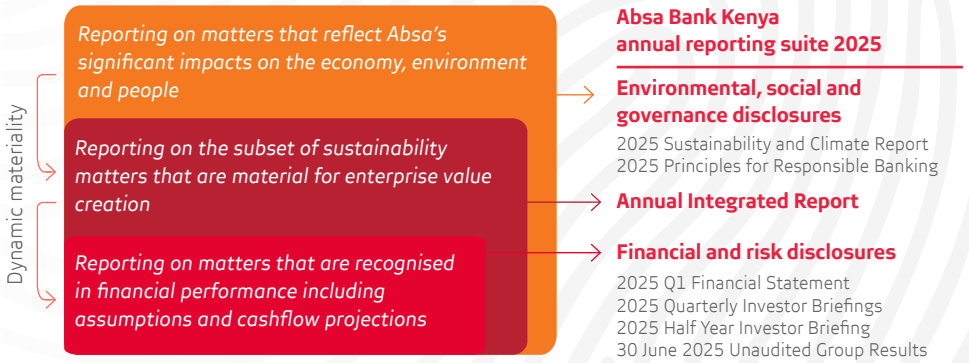
This report outlines how Absa strives to fulfil its purpose of "Empowering Africa's tomorrow, together ... one story at a time" by leveraging financial expertise to do good, thereby creating value for society. To this end, it also includes information on the purpose-led investments that we have made to support our sustainability commitments and deliver positive societal and environmental outcomes.

The report includes information on Absa Bank Kenya Plc and its subsidiaries, and is consistent with the entities covered in the Integrated Annual Report for the year ended 2025, as shown on page 15 of the Integrated Report 2025.

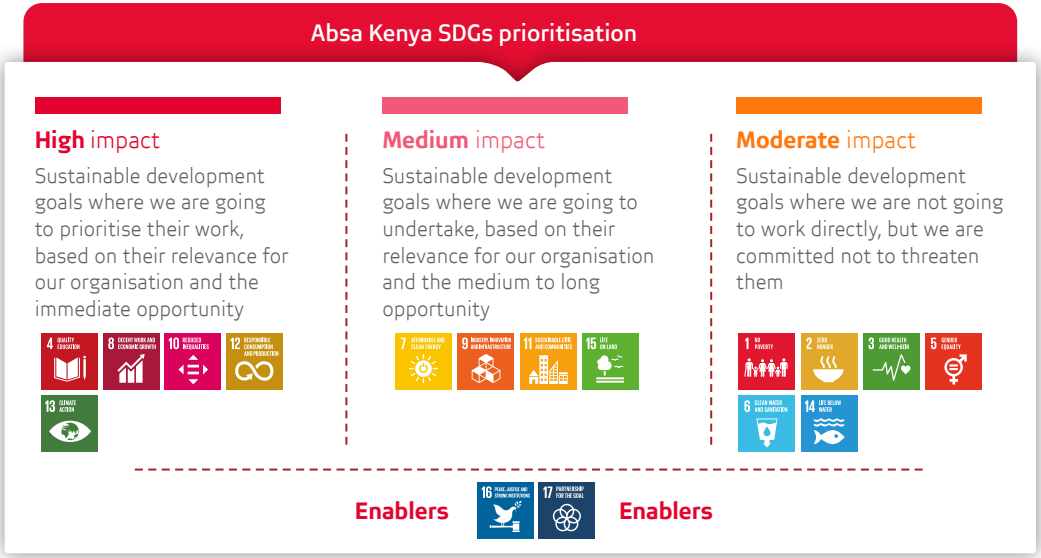
This Sustainability and Climate report of 2025 is part of the reporting suite for Absa Bank Kenya, and covers a specific mandate and is supplemented by other diverse publications which provide additional or complementary disclosures relevant to broader stakeholder groups. All these reports present information pertaining to the financial year from January 1 to December 31, 2025.

Reporting standards used

This report is prepared in compliance with all relevant regulations and legislative frameworks, including the Nairobi Securities Exchange (NSE) ESG Disclosures Guidance Manual and the Central Bank of Kenya's Guidance on Climate-Related Risk Management for commercial banks and mortgage finance companies. It is aligned to the Global Reporting Initiative (GRI) Standards, the Greenhouse Gas (GHG) Protocol, and the Principles for Responsible Banking. Furthermore, the report aligns to the International Sustainability Standards Board (ISSB) disclosure standards, specifically International Financial Reporting Standards (IFRS) S1 and S2, as well as the United Nations Sustainable Development Goals (SDGs). By integrating these frameworks, we ensure that our stakeholders receive relevant, transparent, and timely information regarding our ESG performance and impact.



About this report continued



Summary of changes from previous year's report

Note that there have been no significant changes from the previous year, and the material topics identified have remained the same. This consistency ensures year-on-year comparability and reflects our ongoing commitment to transparency and continuity in our sustainability reporting.

Sustainability-related financial disclosure

Absa was among the early adopters of the International Sustainability Standards Board (ISSB) disclosure standards, implementing IFRS S1 General Requirements for Disclosure of Sustainability-related Financial Information and IFRS S2 Climate-related Financial Disclosures for the year ending 2025. After utilising transition relief for the year ending 2024, Absa will provide full disclosures along with comparative information for the year 2025.

Connected information

To ensure consistency across different reports published by the Bank, Absa has relied on the same data and assumptions in preparing the sustainability-related financial disclosures as per the reporting boundaries of the Absa Bank Kenya Annual Integrated Report, 2025.

Comparative information

The sustainability and climate related disclosures presented in this report correspond to the same reporting entities and boundaries as the corresponding financial statements.

Timing and location of disclosure

The IFRS S1 and S2 disclosures are intended to be read alongside Absa's general-purpose financial statements contained in the Absa Bank Kenya Annual Integrated Report, 2025.

Reporting entity, business model and value chain

Absa serves diverse customer groups in Kenya - individuals, businesses, governments, and institutions ensuring they achieve their financial aspirations by offering a wide range of financial products and services. The Bank has over 100 years of experience in the Kenyan market and operates through an extensive network of 91 branches and service centres, 208 ATMs, +8000 agency outlets and robust Internet and Mobile banking platforms. The Bank is a subsidiary of Absa Group, a pan-African financial services provider operating in 16 countries across the African continent, serving over one million customers. The Bank is listed on the Nairobi Securities Exchange. For more information, please refer to the Annual Integrated Report from pages 12 to 19.

Statement of compliance

We are committed to continuously improving our approach to and implementation of IFRS S1 and S2, as well as enhancing our related disclosures in the coming years. We plan to achieve full compliance with IFRS Sustainability Disclosure Standards by reporting year 2027. This is also in line with the implementation roadmap issued by the Institute of Certified Public Accountants of Kenya (ICPAK).

Assurance

Absa Bank Kenya applies a combined assurance approach comprising management oversight, internal controls, risk and compliance functions, and internal audit. While the sustainability disclosures in this report were not subject to independent external assurance during the reporting period, the Bank is strengthening its reporting processes, data governance, and internal capabilities to support future external assurance and continuous improvement in sustainability reporting.

Oversight and approval of the report

The Board of Directors of Absa Bank Kenya hold the utmost authority and accountability for the fairness and balanced view of our 2025 Sustainability and Climate Report. The Board reviewed and approved the financial statements on 4 March 2026, confirming that they present a true and balanced account of the Bank's performance and position, and reflect how the Bank strengthened its capital base, enhanced resilience, and created sustainable value for stakeholders in 2025.

About this report continued

Outlook into 2026 and beyond

As we step into the future, Absa is focused on remaining energised by a profound sense of purpose and possibilities. We are building on a strong foundation, guided by a vision that goes beyond financial performance to creating meaningful, lasting impact to all our stakeholders. With innovation as the catalyst and resilience as our compass, we are committed to unlocking new opportunities, shaping a more inclusive financial ecosystem and empowering every stakeholder to thrive. While the path ahead may shift with the dynamics of our operating environment, our determination to lead with courage, integrity and imagination remains unwavering. Together we move forward, confident in our ability to empower *Africa's tomorrow one story at a time.*



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Chairman's statement



"The Board remains committed to supporting a culture grounded in accountability, innovation, inclusion, and sustainability leadership."

Mohammed Nyaoga,
Chairman
Board of Directors

I am honoured to present our 2025 Sustainability and Climate Report. At its core, this report reflects how we are thinking about the future we are building together and the role we choose to play in shaping it.

Over time, sustainability has evolved from a separate agenda into a fundamental lens through which organisations and individuals approach decisions, challenges, and opportunities. At Absa, it increasingly informs how we understand risk, identify opportunities, and define value. This report reflects that evolution, capturing our deliberate efforts to align decision-making, governance, and strategic ambitions with a world shaped by growing environmental, social, and economic interdependencies.

The year 2025 marked a significant milestone in our sustainability journey. The convergence of climate risk, regulatory developments, and rising stakeholder expectations is reshaping what resilience requires of financial institutions. In response, we continued strengthening our reporting practices in alignment with the International Sustainability Standards Board (ISSB) requirements, specifically IFRS S1 and S2. This enhances the quality, comparability, and decision-usefulness of our disclosures while reinforcing our responsibility as stewards of capital in a rapidly changing environment.

At the governance level, the Board remains deeply committed to fostering a culture grounded in accountability, innovation, inclusion, and sustainability leadership. Our 13 sustainability commitments continue to provide a clear strategic framework, guiding our approach to climate risk management, ESG integration, and our broader contribution to society. Throughout 2025, the Board maintained active oversight to ensure these commitments translated into measurable outcomes and informed strategic decision-making.

During the year, we strengthened our climate governance structures, enhanced risk assessment capabilities, and deepened alignment with key regulatory frameworks, including the Central Bank of Kenya's Climate-Related Risk Management Guidance, the Kenya Green Finance Taxonomy 2025, and the Climate Risk Disclosure Framework for the banking sector. These efforts position the Bank to remain resilient and responsive within an increasingly complex operating environment.

Looking ahead, we intend to undertake a comprehensive review of our sustainability commitments to reflect emerging international disclosure standards, Kenya's evolving climate policy landscape, and changing stakeholder expectations. This process will ensure that we remain transparent, adaptive, and forward-looking while aligning our strategy with the realities of a transitioning global economy.

Sustainable finance remains central to our long-term value creation agenda. In 2025, we disbursed a total of Shs 55.3 billion in sustainable finance and setting a new ambition of achieving at least 30% of our portfolio by 2030. During the year, we delivered Shs 6.5 billion in climate finance, supporting investments in climate-smart agriculture, renewable energy, clean technologies, energy efficiency, and green buildings.

These sectors are critical to Kenya's green economy strategy and the country's transition to a more inclusive, low-carbon, and climate-resilient future. As we advance this work, we recognise that meaningful progress requires collaboration across institutions, sectors, and communities.

As we look to 2026 and beyond, our commitment remains clear: to lead with integrity, embed sustainability across strategic decision-making, and accelerate our contribution to Kenya's economic and climate transition. We will continue to scale sustainable finance, strengthen governance, expand our social impact, and deepen collaboration with regulators, customers, industry partners, and civil society. These partnerships will remain essential to building a more sustainable financial system and creating enduring value for our stakeholders.

On behalf of the Board, I extend my sincere appreciation to the management team, colleagues, and partners whose dedication and hard work have been instrumental in advancing our purpose. The progress reflected in this report demonstrates the power of collective effort. Together, we will continue to champion transparency, climate resilience, and sustainable development as we help build a more sustainable and prosperous future for generations to come.

Managing Director and Chief Executive Officer's statement



> "Our aspiration is to deliver growth responsibly, innovate with purpose, and contribute to lasting progress for future generations."

Abdi Mohamed
Managing Director and Chief Executive Officer (2025)

Every day, we witness the ambitions shaping Kenya's future: entrepreneurs building businesses, young people preparing for new opportunities, communities adapting to climate realities, and households striving for greater financial security. At Absa Bank Kenya, our purpose of empowering Africa's tomorrow, together, one story at a time challenges us to play an active role in enabling these aspirations. This conviction continues to guide how we deploy capital, innovate for our customers, and create value that extends beyond the boundaries of our business.

The future we seek to build is one where growth is inclusive, opportunity is accessible, and progress is sustainable. Our purpose challenges us to look beyond today's performance and consider how we create lasting value for future generations. In 2025, this meant deepening our support for customers and businesses, expanding access to opportunity, and reimagining how we serve the next generation in a rapidly changing economic, technological, and environmental landscape. Our sustainability journey remains central to this approach, strengthening our ability to deliver growth, resilience, and shared prosperity.

A key focus during the year was expanding access to financial opportunity. We facilitated Shs 48.8 billion in financial inclusion financing, supporting micro, small and medium-sized enterprises, women, young entrepreneurs, and underserved communities across Kenya. Behind these numbers are businesses that expanded, jobs that were sustained, and livelihoods that were strengthened.

We also continued investing in the capabilities that will shape Kenya's future workforce. Through our ReadytoWork programme, nearly 38,000 young people gained critical skills to navigate an increasingly digital and fast-changing economy. We remain convinced that equipping young people with the tools to succeed is among the most impactful investments we can make in our collective future.

At the same time, we strengthened the foundations of our business by enhancing our climate risk capabilities, advancing our ESG data and reporting infrastructure, and leveraging technology to improve operational efficiency and decision-making. These investments are helping us become a more agile, responsive, and future-ready institution.

We also expanded our impact through the Absa Kenya Foundation. Through strategic investments in entrepreneurship, education, natural resource management, and humanitarian response, we supported communities and contributed to sustainable development outcomes across the country. These partnerships reinforce our belief that meaningful progress is achieved through collaboration and collective action.

Our commitment to innovation and customer-centricity was recognised internationally when Absa Bank Kenya was named Best Bank in Kenya by the Global Banking and Finance Review and acknowledged as a leader in the low-carbon transition. This recognition reflects our ambition to develop solutions that create value for customers while supporting sustainable development. A notable example is our pioneering Eco-Home Loan, which offers up to 110% financing to help customers buy, build, or upgrade to energy-efficient homes. More importantly, it demonstrates how we are embedding sustainability into everyday banking solutions, enabling customers to make choices that benefit both their future and the environment.

Our people remain the heartbeat of our organisation, and none of this would be possible without their dedication. Their passion, innovation, and resilience continue to be our greatest competitive advantage. Being recognised as a Top Employer for the fifth consecutive year reflects our commitment to fostering an inclusive, high-performing culture. Diversity, equity, and inclusion remain fundamental to who we are, and we are committed to creating an environment where every colleague feels valued, empowered, and able to realise their full potential.

As we look ahead, we see sustainability entering a new phase, one that places greater emphasis on integration, innovation, and measurable outcomes. We are therefore taking a fresh look at how sustainability creates value across our business and how it can drive growth, resilience, and competitive advantage in the years ahead. This thinking is shaping the evolution of our sustainability agenda as we position the Bank to support Kenya's development priorities while creating long-term value for all stakeholders.

The opportunity before us is significant. By combining our financial expertise, strategic partnerships, technology, and purpose, we are well positioned to support Kenya's development and create sustainable value for our customers, shareholders, colleagues, and communities.

Our aspiration is to deliver growth responsibly, innovate with purpose, and contribute to lasting progress for future generations. As we advance the next phase of our sustainability journey, we will further embed sustainability across our business, enhance resilience, unlock new opportunities, and drive meaningful impact for our stakeholders.

I extend my sincere gratitude to our customers for their trust, our colleagues for their dedication, our partners for their collaboration, and the Board for its guidance and support. Together, we are building a future-ready institution that empowers people, advances growth, and helps shape the stories of prosperity that will define Africa's future.

2025 highlights

The Bank further embedded sustainability into core business and risk frameworks, with a focus on strengthening data quality, refining methodologies, responding to evolving customer needs and expectations, and aligning actions with regulatory and stakeholder requirements. These efforts reinforce the foundation for future delivery and strengthen the link between sustainability initiatives and customer outcomes.

Environmental

1. **Trees planted**
   - 283 969.
2. **Waste management**
   - Partnered with sustainable waste companies
     - Total waste collected: 16 995 kgs
     - Waste recycled: 96.4%
     - CO_2 emissions mitigated: 34 961kgCO_2e.
3. **Climate risk management**
   - Enhanced ESG policies, including environment risk assessments standards and scenario modeling.
4. **Green House Gases (GHG) Emissions**
   - 6 006 CO_2e total GHG
   - 1 297.7 CO_2e scope 1 recorded
   - 686.26 tCO_2e scope 2 recorded with reduction of 18% compared to 2024.
5. **Green building**
   - Launched Eco Home loan.
6. **Climate and nature finance**
   - Became a signatory to TNFD to venture into nature financing.
   - Approximately Shs 6.5 billion disbursed to support renewable energy, energy efficiency, green building and climate smart Agriculture financing.
7. **Net Zero strategy**
   - Piloted financed emissions involving our top four clients
   - Automated GHG accounting
   - Installed solar in four of our branches.

Social

1. **Supplier diversity**
   - 20% of suppliers are women
   - 1% of suppliers is youth
   - 1% of suppliers is PWD.
2. **Absa Kenya Foundation initiatives (AKF)**
   - More than 50 000 plus persons impacted.
3. **Employees**
   - 2 217 number of employees
   - 52:48 ratio of women to men
   - 40% of women in the Board
   - 50% of women in management.
4. **Employee diversity and Inclusion**
   - Onboarded 9 persons with disability through our internship programme
   - We doubled number of PWD colleagues from 23 to 46, moving from 1% to 2% of our workforce.
5. **Innovation hub staff generated**
   - More than 80 ideas through the innovation hub.
6. **Capacity building**
   - Trained all our permanent staff on ESG
   - 3000+ training hours logged.
7. **Colleague participation in customer awareness programmes**
   - 21 campaigns done
   - Outreach through participation was 635 colleagues.
8. **Financial inclusion**
   - Disbursed Shs 48.8 bn to support micro, small and medium-sized enterprises, women, young entrepreneurs, and underserved communities.

Governance

The Board maintained oversight of sustainability and climate-related matters throughout 2025.

Sustainability and climate issues were embedded into Board and senior management discussions.

Executive Management remained accountable for implementing sustainability and climate strategies.

The Sustainability Governance and Reporting function coordinated bank-wide sustainability and climate initiatives.

A strengthened sustainability governance framework supported clearer roles and responsibilities across the Bank.

Climate-related risks continued to be considered within the enterprise risk management framework.

Cross-functional collaboration was enhanced between Sustainability, Risk, Business, and Finance teams.

Regulatory developments were actively monitored, including the CBK Green Finance Taxonomy and Climate Risk Disclosure Framework issued in 2025.

Governance structures supported improved sustainability and climate disclosures through clear review and approval processes.

Initial governance foundations were laid to address emerging nature-related financial risks.

Financial

1. **Sustainable finance**
   - 18% growth in sustainable finance
   - 30% of gross loans disbursement in sustainable finance.
2. **Climate finance**
   - Shs 6.5bn disbursed in climate finance.
3. **1% growth in total assets**
4. **1% growth in customer deposits**
5. **2% decrease in revenue**
6. **37% cost-to-income ratio**
7. **Shs 22.9bn normalised profit after tax.**

Our 13 sustainability commitments

In 2020, we issued 13 sustainability commitments, signalling our intent to be an active force for good. These commitments address key sustainability and climate-related risks while also identifying value creation opportunities, as we contribute to the achievement of the Sustainable Development Goals (SDGs). Each commitment is supported by defined targets and performance metrics to enable systematic tracking and accountability. The table below presents the progression and performance against the 13 sustainability commitments as at 2025.

Anchor	Commitments	Goal or Target	Due date	Delivery as December 2025
Social responsibility	Become one of the best place to work in Kenya	Become one of top 10 employers in Kenya	2025	• Ranked top employer in Kenya last four years; 2022, 2023, 2024, 2025 • Colleague experience index is 72.2% • Job satisfaction is 8.1.
	Increase proportion of women within all levels: junior, Management and Board positions: Gender parity	Attain 50% female representation across all levels	2025	• 50% of Absa Bank Kenya leadership are women (junior 52%, Management 49%, Board 40%).
	Investing in training and upskilling the future skills and competencies of our employees	Train all employees on at least one future skill	2021	• All colleagues were trained on at least one future skill as at 2021 – Udemy 1 333 – Absa digital campus 2 125 – LinkedIn learning 403 – Kenya Bankers Association SFI 1 981 – UN Global Compact Academy 44 • Commitment adopted to BAU as a norm KAYA training challenge enhanced colleague training.
	Investing in the future of the youth through skills development with our ReadyToWork programme	Train 1 million youth	2030	• Over 300 000 youth trained since the programme launch • 37 930 youth trained in 2025.
	Increase diversity in the supply chain focusing on Women, Youth and Persons with disability	Target for 2025 is 21%	2025	• Diversity of 22% (women 20%, Youth 1%, PLWD 1%).
	Empower our suppliers and create awareness on corporate sustainability and responsible business practices	Train all suppliers on sustainable business	2021	• 400 out of 430 active suppliers on Sustainability by Strathmore University. Additional over 500 suppliers were trained by IFC Sourcing to equal.
	Direct and Indirect economic contribution to the Kenyan economy through our current and future funding	Report percentage contribution to the economy	Continuous	• Our direct contribution under UNCTAD economic contribution model is 4% • Currently reviewing the evaluation model to reflect indirect economic contribution under the UNCTAD standards.

Our 13 sustainability commitments continued

Anchor	Commitments	Goal or Target	Due date	Delivery as December 2025
Environmental responsibility 	Increase biodiversity and encourage environmental reponsibilty through planting trees	Plant 10 million trees	2032	• 1.5 million trees planted to date • 283 249 trees planted in the year 2025.
	Become a net zero carbon footprint company by 2040	Socialisation of new Net Zero strategy on going which includes scope 1 and 2 (operational) by 2040 and scope 3-financed emissions by 2050 to align with Group Strategy. Business Card digitisation ongoing to reduce paper. Continued implementation of water and electricity usage reduction initiatives. • Ongoing implementation of EPRA recommendations through CRES • Targeting 51 branches and HQ , 61 ATM's for full solar installation	2040	• Operational emissions 6 006 tCO_2e recorded • 41% reduction in energy footprint compared to 2019 baseline • Five premises EDGE certified • Four branches solarisation pilot complete. Between 30-51% efficiency recorded.
	Assess and manage our indirect environmental and indirect social impacts	Reduce and mitigate negative impact	Continuous	• ESMS scope expanded beyond MIGA. ESRA tool automation complete • E&S supervision visit by Group and MIGA team completed with a positive assessment on progress given.
Reporting and governance 	Adherence to governance and control policies internally and through the supply chain	Embed ESG across all our policies and frameworks	Continuous	• Enhanced Environmental and Social Risk policy. • Incorporated Sustainability risk into product development.
	Continued partnerships for the goals	Increase the number of partners and value created for society and business	Continuous	• Established multiple partnerships: - Kenya Green Building Society (KSBS) - Deutsche Gesellschaft für Internationale Zusammenarbeit (GIZ) - International Finance Corporation (IFC) - United Nation Global Compact (UNGC) - Safaricom - Africa Guarantee Fund (AGF) - UN women - Kenya Bankers Association (KBA) - Eco Business Fund - Multilateral Investment Guarantee Agency (MIGA).

Our 13 sustainability commitments continued

Anchor	Commitments	Goal or Target	Due date	Delivery as December 2025
Sustainable finance	Strengthen portfolio diversification through increased investment and capital allocation to high-impact initiatives that support renewable and clean energy, innovation and resilient infrastructure, financial inclusion, sustainable cities and communities, responsible production and consumption, and sustainable value chain development.	Increase portfolio and capital allocation by at least 10%	2025	• 10% target met relative to total portfolio in sustainable finance having done Shs 55.3 billion in 2025 representing 30% of loan disbursements in 2025 - Timiza - Shs 26.4 billion - SME - Shs 7.9 billion - Climate Finance - Shs 6.5 billion (CIB+BB) - Women in Business - Shs 1.8 billion - Youth - Shs 10 billion - Low-income Household - Shs 2.7 billion • Plans to cascade Shs 13 billion Absa Kenya Climate Finance target set by the Group MIGA agreement allocation for Kenya • We have set in motion execution of climate finance strategy • Financial inclusion on track having done Shs 48.8 billion in 2025.

Impact in Action

Advancing inclusive growth and climate action through sustainable finance

Absa Bank Kenya has continued to demonstrate measurable progress in embedding sustainability and climate considerations into its financing activities, consistent with the strategic direction. The Bank's reported focus on inclusive growth, climate action, environmental responsibility, governance and stakeholder value provides the strategic context for the growth in sustainable and climate-related financing over the period under review.

Between 2022 and 2025, Absa Bank Kenya disbursed an estimated Shs 204.0 billion in sustainable finance, reflecting the Bank's continued mobilisation of capital towards activities that support inclusive economic participation, enterprise growth, social development and environmental outcomes. Annual sustainable finance disbursements increased from Shs 41.4 billion in 2022 to Shs 60.0 billion in 2023, before moderating to Shs 47.0 billion in 2024 and recovering to Shs 55.3 billion in 2025. This trend demonstrates that sustainable finance has remained a meaningful and recurring component of the Bank's lending and customer support agenda.

Within this broader sustainable finance portfolio, eligible climate finance disbursements amounted to Shs 57.8 billion over the same four-year period. Climate finance was particularly strong in 2022 and 2023, with disbursements of Shs 25.0 billion and Shs 22.3 billion respectively, before declining to Shs 4.0 billion in 2024 and improving to Shs 6.5 billion in 2025. The cumulative climate finance disbursement represents approximately 28% of total sustainable finance disbursements over the period, underscoring the Bank's role in supporting Kenya's transition to a lower-carbon and more climate-resilient economy while also indicating scope to further deepen climate-aligned origination within the overall sustainable finance portfolio.

As at 31 December 2025, Absa Bank Kenya reported gross loans of Shs 339.5 billion and net loans of Shs 312.2 billion. Against this loan book, the 2025 sustainable finance disbursement of Shs 55.3 billion represents a significant level of annual mobilisation relative to the Bank's lending base, while the Shs 6.5 billion in eligible climate finance demonstrates continued, though more targeted, deployment of capital towards climate-related opportunities. The figures suggest that sustainable finance is increasingly embedded in the Bank's mainstream lending activities, with climate finance forming a focused sub-set that can be scaled further through enhanced product innovation, client engagement and sector-specific transition finance solutions.

Overall, Absa Bank Kenya's performance demonstrates a sustained commitment to financing activities that contribute to inclusive growth and environmental resilience. The cumulative sustainable finance disbursement of Shs 204.0 billion over four years provides evidence of consistent delivery against the Bank's sustainability ambition, while the Shs 57.8 billion in eligible climate finance highlights our contribution to climate action.

Our purpose, values and strategic direction

Absa Bank Kenya's purpose, values, and strategic direction are at the heart of everything we do. Our core purpose is to *empower Africa's tomorrow, together...one story at a time*. This vision is not only a guiding principle but also a commitment to making a meaningful and lasting impact in the communities we serve.

Guided by our values of Trust, Resourcefulness, Stewardship, Inclusion, and Courage, we strive to foster a culture that supports innovation, collaboration, and responsible action. These values shape the experiences of our employees, clients, and stakeholders, ensuring that we remain focused on delivering excellence and sustainable growth.

Our strategic direction is anchored in responsible banking practices, innovative product offerings such as the Eco Home loan, and targeted initiatives through the Absa Kenya Foundation. By driving customer awareness programmes, launching impactful campaigns, and consistently measuring progress against our commitments and targets for 2025, we aim to create long-term value and contribute positively to society.

Absa Bank Kenya is dedicated to being a genuinely purpose-driven organisation. This commitment centres on making a meaningful impact within our communities and ensuring our purpose guides every action we take. Our purpose acts as our guiding light, continually shaping and defining the reason behind our existence.



At Absa, our purpose is *Empowering Africa's tomorrow, together...one story at a time*

Empowering

At Absa Bank Kenya, we empower and enable – from investing in our employees to uplifting our communities and enabling our clients' ambitions. Empowerment is active, every moment, walking together as partners. We unlock opportunities for our clients through imagination, energy and passion, and finding innovative solutions. Empowerment ensures that we invest in people and their capabilities.

Africa's

Our heartbeat is African. We are committed to a Pan-African presence and contribution. We cherish our home; we care for it and invest in it. Africa is a home that we are proud of. Our organisation was born in Africa over 100 years ago.

Tomorrow

We value our heritage and embrace the challenge of reimagining a better tomorrow – for our colleagues, clients and communities. We know that every action we take has a consequence for a meaningful tomorrow. We relentlessly deliver on our commitments today with a long-term mindset through good times and bad. We are stewards of a sustainably better world. Tomorrow embodies the aspiration of youth and future generations. Tomorrow represents one day or many years.

Together

We are a trusted and caring partner committed to collaborating with all our stakeholders. We embrace diversity and inclusivity. This strengthens us, unleashes everyone's full energy and enables better outcomes. We are a collective, holding ourselves and one another accountable for our outcomes. We are stronger together. We listen to many perspectives while remaining decisive. We work together to bring our strategic ambitions to life.

One story at a time

Brick by brick, we build a masterpiece – no matter how big or small. We embrace Africa's heritage of storytelling. Stories bind us. We see you. We hear your story – it inspires us to act and grounds us in what is real.

Our values

Our values are fundamental in shaping the culture of our organisation and directing our actions. They play a crucial role in determining how our employees, clients, and stakeholders experience and engage with us.

Trust
We believe in ourselves and each other

Resourceful
We innovate for our colleagues, clients and communities

Stewardship
We take actions today that sustain tomorrow

Inclusion
We are stronger together

Courage
We show up as our authentic selves and own our story

Absa Bank Kenya at a glance

Absa Bank Kenya PLC is a proud member of the wider Absa Group, a pan-African organisation inspired by the diverse communities we serve and committed to earning global respect as a business Africa can celebrate. Our focus is on developing solutions that address the distinct challenges faced locally, ensuring that every action adds meaningful value to our stakeholders. As a trusted financial services provider, we play a pivotal role in the economic prosperity of individuals, businesses, and governments alike. Through collaborative partnerships, we help create, nurture, and safeguard wealth, supporting economic progress and advancing Africa's sustainable development.

Over 100 years
operating in Kenya

91
branches and service centres

204
ATMs Countrywide

55.3 billion
Sustainable finance

2 217
Employees

Over 1.2 million
Customers

52:48
Employee gender (F:M)

50%
Women in management

Shs 22.9 billion
Profit after tax

Shs 60.02 billion
Total revenue

Shs 538 billion
Assets

372 billion
Deposits



Membership and Association

Absa Bank Kenya is a proud member and signatory of several globally recognised industry bodies and sustainability initiatives. Through these memberships and commitments, the Bank demonstrates its dedication to upholding international best practices in responsible banking, sustainability, inclusion, and ethical governance, while contributing to the advancement of sustainable development goals both locally and globally.

Name of corporate	Membership type (Industry body/ professional)
Kenya Bankers Association (KBA)	Industry
Kenya National Chamber of Commerce and Industry (KNCCI)	SME Advocacy body
Kenya Association of Manufacturers (KAM)	Professional
Global Compact Kenya	Professional
Kenya Green Building Society (KGBS)	Professional
Kenya Private Sector Alliance (KEPSA)	Industry
East African Tea Trade Association (EATTA)	Professional
Leasing Association of Kenya	Professional
Central Depository and Settlement Corporation (CDSC)	Professional
Chartered Institute for Securities and Investments (CISI)	Professional
Institute of Certified Investments and Financial Analysts (ICIFA)	Professional
Institute of Certified Public Accountants of Kenya (ICPAK)	Professional
British Chamber of Commerce Kenya (BCCK)	Professional
American Chamber of Commerce Kenya (AmCHAM)	Professional
Information Systems Audit and Control Association (ISACA)	Professional
Association of Certified Anti-Money Laundering Specialists (ACAMS)	Professional
Compliance Society of Kenya (CSK)	Professional
Law Society of Kenya (LSK)	Professional
Institute of Certified Secretaries Kenya (ICSK)	Professional
Marketing Society of Kenya (MSK)	Professional
Public Relations Society of Kenya (PRSK)	Professional



Our sustainability and climate action journey

2018

- Developed the Environmental Action Plan (EAP) 2030 focused on Commercial and Real Estate Services (CRES)
- Baseline year for net zero commitment set for 2019

2019

- Creation of sustainability department
- IFC EDGE assessment undertaken for all five Absa sites
- Point Of Use (POU) drinking water project: Phase 1

2020

- Trainined all staff on sustainability and ESG
- Sustainability champions deployed
- Computers for Schools Project launched
- 13 sustainability commitments launched
- Energy efficiency project launched including installation of power efficient lights and automatic controls

2021

- Retrofitted Absa sites with energy saving technology to reduce operational emissions
- Developed our sustainability implementation plan
- Established a supplier training programme on sustainability with Strathmore University
- Established tree planting project
- Waste recycling pilot with our vendors launched
- Signed up to IFC's Sourcing2Equal Supplier Diversity Programme
- Supplier Diversity at 6%
- Launched ReadytoWork placement programme for suppliers
- 6,600 trees planted
- Developed 7 computer labs in schools

2022

- Adoption of annual climate reporting using CBK Guidelines on Climate Risk Management
- Issued first annual Sustainability Report
- Undertook EDGE certification for head office and Bishops Gate
- Launched See Her Empowered (SHE) Stars project with GIZ and Yunus Environmental Hub
- Supplier diversity stood at 10.3%
- 303 664 trees planted
- Launched 43 school computer labs
- Achieved IFC EDGE certification for five premises
- First cohort of Tuungane 2x SHE project supports 300 entrepreneurs through credit-readiness programme
- 300 suppliers complete Supplier Training Programme with Strathmore University
- 2 146 applications received for the See Her Empowered (SHE) Stars Project

2023

- Issued 2022 Sustainability Report
- Launched Tuungane 2X SHE project with Africa Guarantee Fund (AGF) and Melanin Kapital
- Developed and issued Persons Living with Disabilities (PLWD) Roadmap
- Supplier diversity stood at 15.5 %
- Installed and launched 22 school computer labs
- 85 Absa sites retrofitted to improve energy efficiency
- Over 400 suppliers completed sustainability training with Strathmore University
- Over 500 women suppliers trained on corporate procurement under IFC Sourcing2Equal programme
- 402 SHE Stars from cohort III and IV complete See Her Empowered (SHE) Stars programme

2024

- Supplier diversity stood at 18%
- Two additional computer labs launched in two schools bringing a total of 67 computer labs.
- Over 600 women including youth and PWDs trained on corporate procurement readiness in collaboration with IFC S2E
- 11 065 youth empowered through ReadytoWork
- 15 939 women entrepreneurs benefited from women in business.

2025

- Roll out of Eco Home loan
- 55.3 billion in sustainable finance disbursed
- Won overall ICPAK fire award 2025
- 283 969 trees planted
- 37 930 youth trained via Ready to Work
- Supplier diversity 22 %
- Doubled PWDs employee compliment
- 187 600 women entrepreneurs empowered through financial literacy.

How sustainability is embedded in strategy

Sustainability underpins our enterprise strategy, guiding how we govern, invest, innovate, and create shared value for current and future generations.

Sustainability is deeply integrated into Absa Bank Kenya's strategic direction, governance systems, risk management practices, and value-creation model, reflecting our commitment to long-term resilience, responsible banking, and shared prosperity.

Sustainability underpins our enterprise strategy by shaping how we identify risks and opportunities, deploy capital, innovate products, and engage stakeholders. Guided by an ESG risk management approach adapted from Absa Group and contextualised for the Kenyan operating environment, we embed sustainability in the Bank's core decision-making processes from credit underwriting and product development to operational efficiency and workforce transformation. This is further anchored by strong governance structures, including Board-level oversight and dedicated management teams responsible for climate-related and broader ESG integration, in line with GRI 2: General Disclosures and IFRS S1 governance expectations.

With respect to strategy, the Bank incorporates climate-related and sustainability-related considerations directly into strategic planning, consistent with IFRS S2. Our strategic priorities intentionally align with climate transition needs, environmental stewardship, and social equity ensuring that sustainability contributes to business growth, risk mitigation, and competitive advantage.

This includes commitments to Net Zero by 2050, integration of climate risk into lending and investment decisions, prioritisation of green finance, and expansion of inclusive finance solutions that drive economic participation for underserved segments. These priorities are reflected in the Bank's efforts to fund renewable energy, energy-efficiency projects, green buildings, and nature-based solutions, as well as to enhance inclusion through digital access, SME support, and women- and youth-focused programmes.

Sustainability is also embedded in the Bank's risk management framework as required by IFRS S2, which mandates identification and assessment of climate-related risks and opportunities. Absa incorporates climate risk assessment into credit decisioning, portfolio management, scenario analysis, and stress-testing, ensuring alignment with Kenya's transition pathways and global expectations. These processes are supported by robust data governance, ESG screening, and climate-risk disclosure systems, as emphasised in our sustainability reporting structure on page 51-54 of this report. Furthermore, sustainability considerations inform operational risk, market risk, and resilience planning ensuring that our business model remains adaptable to evolving regulatory, environmental, and social contexts.

Our value-creation model highlighted in the Integrated Report of 2025 page 8-9 is anchored on the six capitals: financial, manufactured, human, social and relationship, natural, and intellectual through which sustainability enhances long-term outcomes for all stakeholders. For example, sustainable procurement practices and supplier diversity programmes strengthen local economic ecosystems, while community investments through the Absa Kenya Foundation support education, livelihoods, and climate resilience. These efforts demonstrate how sustainability shapes not only what we do, but how we create shared value across society.



Materiality and stakeholder engagement

Materiality and stakeholder engagement

Absa Bank Kenya maintains a prominent and far-reaching presence across the country, with a significant influence on society, the environment, and the well-being of individuals, including impacts on human rights. Recognising the importance of those affected by its activities, the Bank acknowledges that stakeholders, whether currently impacted or potentially impacted, they play a vital role in shaping which issues are considered most critical for the organisation to address.

For Absa Bank Kenya, the process of determining material matters is essential to identifying priority issues that could have the most substantial effect on the Bank's performance, long-term sustainability, and stakeholders' decision-making. By focusing on these priority areas, the Bank ensures that its strategy, operational actions, and public disclosures reflect what truly matters to both the organisation and its stakeholders.

This deliberate concentration on material topics strengthens the Bank's ability to create meaningful impact and supports its commitment to responsible business practices that foster sustainable value for all.

For the stakeholders who we have identified we have illustrated in detail, who they are, why they matter to Absa, how we interacted with them and communication which we have had during the year under review, this is summarised on page 28-30 of this report.

The determination of material matters involves identifying, assessing, and prioritising sustainability and climate topics that have the greatest influence on both our business and its stakeholders.

Through a materiality assessment, we gain a holistic view of our sustainability landscape, distinguishing which topics are material, whom they affect, and the reasons for their significance. We employ a double materiality framework, which allows us to determine the sustainability and climate-related risks most relevant to our Bank. This approach entails a thorough evaluation of a broad range of sustainability and climate concerns, which are then prioritised according to their importance to stakeholders, their impact on our financial performance, and their alignment with our strategic objectives.

Materiality assessment process (double materiality, impact and financial)

The determination of material matters is guided by the principle that decision-makers must systematically identify, evaluate, and prioritise sustainability and climate topics that hold the greatest influence for both the business and its stakeholders. By conducting a comprehensive materiality assessment, the Bank gains a clear understanding of its sustainability context, establishing which topics are material, which are not, and clarifying for whom and why these topics carry significance.

Our approach is founded on the concept of double materiality, which enables us to pinpoint the sustainability and climate risks that are most relevant to the Bank. This methodology involves a thorough assessment of a broad spectrum of sustainability and climate issues, which are then prioritised according to their importance to our stakeholders, impact on our financial performance, and alignment with the strategic objectives of the Bank.

Through this evaluation, we classify material matters into two distinct categories: impact material matters and financial material matters. Comprehensive disclosures regarding financial material matters can be found in our Annual Integrated Report 2025 (refer to pages 45-66). As a result of our materiality determination process, the topics outlined below are considered to be of highest importance to both our stakeholders and the Bank.



Impact materiality	Impact and financial materiality	Financial materiality
Diversity and inclusion	Climate change and just transition	Economic volatility
Evolving stakeholder scrutiny and expectations	Social context	Country sovereign risk
Ethics, trust, and business conduct		Capital flows and liquidity management
		Digital intelligence
		Evolving workplace
		Regulatory environment

Materiality and stakeholder engagement continued

Impact materiality

Impact materiality focuses on how Absa's operations, products, and services influence society and the environment, both positively and negatively. These matters are considered material when Absa's activities create, contribute to, or are directly linked to significant impacts across stakeholders, including customers, employees, communities, regulators, and ecosystems.

For Absa Bank Kenya, the following topics are assessed as impact-material:

Diversity and inclusion

Supporting equitable opportunities and representation across the organisation.

Evolving stakeholder scrutiny and expectations

Responding to increasing expectations around transparency, ESG performance, and ethical conduct.

Ethics, trust, and business conduct

Ensuring integrity, customer trust, responsible business behaviour, and strong governance practices.

These issues represent areas where Absa's actions significantly shape societal outcomes, stakeholder trust, and the Bank's social licence to operate.



Aspect	Definition	SDGs impacted
Diversity and inclusion	Diversity and inclusion are fundamental pillars of Absa's organisational culture, shaping a vibrant, resilient, and high-performing workplace. We recognise that fostering an environment where individuals from diverse backgrounds—including those with disabilities are welcomed and valued is crucial to our long-term success and the creation of sustainable value for all stakeholders. The importance of diversity and inclusion is twofold: it enhances our capacity to understand and serve our broad customer base, and it strengthens our ability to innovate and respond effectively to complex market demands. In recent years, Absa has deepened its commitment by actively recruiting talent from a wide range of backgrounds and focusing on increasing Board and Management diversity. This approach ensures our leadership teams reflect a broad spectrum of perspectives, which drives better decision-making, enriches our corporate culture, and supports innovation. As a result, we are better positioned to anticipate and respond to the evolving needs of our stakeholders. The impact of these efforts is evident throughout the organisation. Our inclusive practices have led to a more dynamic and supportive working environment, empowering employees to contribute meaningfully and helping us attract and retain top talent. This, in turn, has had a positive effect on our financial performance, with diverse leadership enabling us to navigate a challenging and rapidly changing business landscape. Absa's response extends beyond our internal workforce. We continue to champion financial and supply chain inclusion by integrating suppliers from underrepresented groups including those owned or led by individuals with disabilities into our procurement processes. This not only strengthens the resilience and sustainability of our supply chains but also supports entrepreneurship and economic growth within our communities. Furthermore, we have responded to heightened stakeholder expectations by reinforcing our commitment to transparency, ethical conduct, and responsible business practices. This includes comprehensive training programmes to combat fraud and financial crime, robust data protection, and proactive management of conflicts of interest, thereby strengthening our reputation as a trusted and responsible financial partner. Through these initiatives, Absa affirms its dedication to building a diverse and inclusive organisation, recognising that such efforts are essential to creating lasting shared value and maintaining our position as a forward-thinking, responsible Bank.	5 GENDER EQUALITY 8 DECENT WORK AND ECONOMIC GROWTH 10 REDUCED INEQUALITIES

Materiality and stakeholder engagement continued

Impact materiality

Aspect	Definition	SDGs impacted
Evolving stakeholder scrutiny and expectations	Recognising the significance of evolving stakeholder scrutiny is paramount to Absa's long-term success and resilience. Stakeholder expectations drive the Bank to uphold the highest standards of transparency, ethical conduct, and responsible business practices. This ongoing shift has directly influenced Absa's strategy, compelling us to strengthen our commitment to diversity, inclusion, and ethical behaviour throughout our operations. The impact of these heightened expectations has been substantial. This has enriched our leadership's perspectives and improved our capacity to meet the needs of our diverse customer base. Additionally, our supply chain practices now prioritise financial and supply chain inclusion, integrating suppliers led by individuals from underrepresented groups, thereby supporting economic growth and entrepreneurship. In response to demands for greater ethical conduct, Absa has reinforced its commitment to integrity through responsible lending, robust data protection, and proactive conflict of interest management. We have invested in comprehensive training for employees and stakeholders to combat fraud and financial crime, strengthening our reputation as a vigilant and trustworthy institution. By actively engaging with stakeholders and integrating their feedback, Absa ensures that the experiences and aspirations of those we serve shape our ongoing evolution. This approach not only builds trust but also enables us to create shared value, reinforcing our position as a responsible and forward-thinking financial partner.	
Ethics, trust and business conduct	Trust is the foundational pillar for banks. It shapes relationships with stakeholders requiring ethical business conduct. Banks are expected to uphold the highest standards of integrity through several approaches including responsible lending, safeguarding customer data, and avoiding conflicts of interest. When banks prioritise ethical conduct, they not only comply with regulatory requirements but also foster a culture of accountability that resonates with customers, enhancing their loyalty and confidence in the institution. As customers become more discerning and informed, they seek financial institutions that can be trusted partners in their financial journeys. Ultimately, a strong ethical foundation not only mitigates risks but also drives long-term success and resilience in the banking sector. In recent years, Absa has recognised the profound impact trust and ethics have on its operations, especially in the face of growing threats such as fraud and financial crime. To address these challenges, the Bank invested heavily in raising awareness around fraud prevention. Absa conducted multiple training sessions for employees, customers, and partners, ensuring that everyone is equipped with the knowledge and tools necessary to identify and respond to fraudulent activities. These continuous educational initiatives have strengthened Absa's reputation as a responsible and vigilant financial institution. Central to Absa's approach is the "Absa Way", a set of guiding principles that defines how the Bank interacts with stakeholders, fosters transparent communication, and upholds ethical standards. The Absa Way emphasises respect, integrity, and responsiveness, ensuring all stakeholder interactions are anchored in mutual trust and shared value. This framework not only guides daily operations but also shapes strategic decision-making, reinforcing the Bank's commitment to responsible business practices. All these efforts feed into our overarching brand promise: "*Your story matters.*" At Absa, every stakeholder, from customers and employees to suppliers and community partners, is valued and heard. By prioritising stakeholder engagement and inclusivity, we continually demonstrate that the experiences, concerns, and aspirations of those we serve are integral to the Bank's ongoing evolution and success. This promise further solidifies Absa's position as a trusted partner, dedicated to building lasting relationships and creating positive impact across its ecosystem.	

Materiality and stakeholder engagement continued

Impact and financial materiality

Some sustainability matters are simultaneously impact-material and financially material, meaning they both influence stakeholder outcomes and materially affect the Bank's financial resilience or long-term performance. For us, this intersection includes:

Climate change and a just transition

Climate change drives both environmental and societal impact while posing financial risks/opportunities across credit, operations, and strategy.

Social context

Issues such as inequality, youth unemployment, and community wellbeing influence social stability and market dynamics, shaping Absa's operating environment and risk profile.

These topics require integrated action because they influence both the Bank's external footprint and its internal financial sustainability.

Aspect	Definition	SDGs impacted
Climate change and just transition	Climate change has emerged as one of the most significant challenges facing Kenya, with far-reaching implications for key economic sectors, particularly agriculture, manufacturing and tourism. Kenya's economy is heavily reliant on agriculture, which contributes approximately 20% of the country's Gross Domestic Product (GDP) and supports the livelihoods of around 40% of the population. Consequently, climate-related disruptions pose substantial risks to economic growth, food security and community well-being. In recent years, Kenya and the wider Horn of Africa region have experienced increasingly severe climate events, including prolonged droughts, devastating floods and landslides. These events have resulted in loss of life, displacement of communities, destruction of infrastructure and reduced agricultural productivity. Other visible impacts include rising water levels in several Rift Valley lakes and the gradual retreat of glaciers on Mount Kenya, highlighting the growing urgency for climate action. Recognising these challenges, Absa has adopted a proactive and strategic approach to addressing climate change. We are committed to strengthening resilience within our operations, supporting our customers in managing climate-related risks, and empowering the communities we serve to adapt to a changing environment. Through targeted investments, sustainable financing solutions and stakeholder engagement, we aim to contribute to sustainable development, enhance climate resilience and support long-term economic stability in an increasingly uncertain world. As climate change continues to affect critical sectors such as agriculture, manufacturing and tourism, financial institutions are also becoming increasingly exposed to its impacts. Banks face heightened credit risks as borrowers experience reduced incomes and business disruptions resulting from extreme weather events, changing climatic conditions and volatile commodity markets. For example, droughts and floods can significantly reduce agricultural yields, limiting farmers' ability to meet their financial obligations and adversely affecting the performance of loan portfolios. Beyond credit risk, climate change presents operational and systemic challenges for the banking sector. Physical assets, including branch networks and supporting infrastructure, may be vulnerable to climate-related events, whilst broader economic disruptions can contribute to market instability and evolving regulatory requirements. At the same time, financial institutions face increasing expectations from regulators, investors and customers to support the transition to a low-carbon, climate-resilient economy through sustainable financing and responsible investment practices. Against this backdrop, Absa recognises both its responsibility and its opportunity to play a leading role in driving positive environmental and social outcomes. By integrating climate considerations into our business strategy, risk management frameworks and financing decisions, we are supporting initiatives that promote resilience, sustainable growth and inclusive economic development, whilst creating long-term value for our stakeholders.	

Materiality and stakeholder engagement continued

Impact and financial materiality

Aspect	Definition	SDGs impacted
Climate change and just transition (continued)	The concept of a just transition is central to Absa's climate strategy. A just transition refers to ensuring that the shift towards a more sustainable, low-carbon economy is inclusive and equitable, particularly for vulnerable communities and workers who might be adversely affected by this shift. Absa is committed to supporting clients and sectors most exposed to climate-related risks by providing tailored financial products, advisory services, and capacity-building initiatives. This helps facilitate the adoption of sustainable practices while minimising social disruptions and promoting economic inclusion. By integrating climate risk assessments into its lending and investment decisions, Absa can better manage its exposure and contribute to the resilience of the broader economy. The Bank also collaborates with stakeholders i.e. customers, regulators, and communities to develop innovative solutions that address both environmental and social challenges. Through these efforts, Absa not only safeguards its financial stability but also plays a pivotal role in advancing sustainable development and fostering long-term prosperity in Kenya and the wider region. We also face operational challenges brought about by climate change, such as physical risks to our branch infrastructure and digital networks, as well as systemic risks stemming from market volatility and evolving regulatory requirements. Additionally, we are aware of our responsibility to address the growing demand for sustainable finance by supporting sectors and projects that enhance climate resilience and help drive the shift toward a low-carbon economy. The principle of a just transition lies at the heart of our climate strategy. This means we are dedicated to ensuring that the move towards a more sustainable, low-carbon economy is both inclusive and equitable, especially for vulnerable communities and workers who may be disproportionately impacted by this transition. We are committed to supporting our clients and the sectors most exposed to climate-related risks by offering tailored financial products, advisory services, and capacity-building initiatives. Through these efforts, we aim to facilitate the adoption of sustainable practices while minimising social disruption and fostering economic inclusion. By embedding climate risk assessments into our lending and investment decisions, we are better positioned to manage our exposure and contribute to the resilience of the wider economy. We actively collaborate with stakeholders, including our customers, regulators, and communities to develop innovative solutions that address both environmental and social challenges. Through these ongoing efforts, we not only safeguard our financial stability but also play a pivotal role in advancing sustainable development and fostering long-term prosperity in Kenya and the broader region.	
Social context	As we continue to navigate the realities of climate change, Absa recognises our responsibility as an integral part of the communities we serve, while also acknowledging the direct financial implications for the Bank. Climate change impacts key sectors such as agriculture, manufacturing, and tourism, the backbone of Kenya's economy leading to increased credit risk and potential non-performing loans (NPLs) when adverse events like floods, droughts, and rising water levels disrupt business operations. In response, we have adopted a strategic, hands-on approach to climate action, focusing on building resilience within our Bank, among our customers, and across the communities we operate in. By integrating climate risk assessments into our lending and investment decisions, we proactively manage our exposure to sectors most vulnerable to climate impacts, thereby safeguarding our funding position and supporting long-term financial stability. These assessments enable us to anticipate and mitigate potential increases in NPLs, which is critical for our compliance with IFRS and overall risk management. We are committed to supporting a just transition, ensuring that the move towards a more sustainable, low-carbon economy is fair and inclusive, especially for vulnerable communities and workers. By broadening our customer base particularly through tailored financial solutions, advisory support, and capacity-building initiatives for SMEs and youth entrepreneurs, we aim to diversify our funding sources and strengthen our cash flow resilience. Supporting SMEs, which are vital for job creation and economic growth, remains a priority, especially as they face economic challenges that could affect their ability to service loans. This approach not only helps minimise social disruption and foster economic inclusion but also bolsters our financial position by expanding our lending portfolio and reducing concentration risk. Collaboration with customers, regulators, and community stakeholders allows us to develop innovative solutions to address both environmental and social challenges, further enhancing our ability to manage funding risks and maintain liquidity.	

Materiality and stakeholder engagement continued

Financial materiality

Financial materiality focuses on sustainability matters that may influence Absa's cash flows, access to capital, cost of capital, financial position, or long-term resilience. A topic is financially material when it presents a clear risk—or opportunity—to the Bank's financial performance. For Absa Bank Kenya, the following topics are assessed as financially material:

Economic volatility

Macroeconomic shifts affecting credit quality, returns, and growth.

Country and sovereign risk

Impacts on lending, portfolio stability, and investment flows.

Capital flows and liquidity management

Ensuring financial stability under evolving sustainability-linked risks.

Digital intelligence

Technology innovation, cybersecurity, and competitive digital capability.

Evolving workplace

Talent, culture, and workforce readiness for a changing operating environment.

Regulatory environment

Compliance demands, prudential requirements, and sustainability-related regulatory expectations.

These issues directly affect Absa's operational resilience, long-term strategy, and financial performance. For detailed information regarding financial material issues, please refer to our Annual Integrated Report 2025 (see pages 45-66).



Materiality and stakeholder engagement continued

Our stakeholders

Our value creation process is fundamentally interconnected with the acquisition, development, and optimisation of both financial and non-financial resources, as well as the cultivation of key relationships. At Absa Kenya, we operate within a broader ecosystem, recognising that the input and engagement of our stakeholders are pivotal to achieving our mission and sustaining our long-term success.

We understand that the strength and quality of our relationships with stakeholders have a direct bearing on our ability to fulfil our objectives and realise our business strategy. Accordingly, we carefully consider the needs and expectations of our stakeholders in the formulation of our business strategies and throughout the delivery of our products and services.

Through consistent and meaningful engagement, we gain valuable insight into our stakeholders' viewpoints, aspirations, and expectations of our organisation. These interactions inform our decision-making and ensure that our operations remain responsive and relevant to those we serve. The following summary sets out our primary stakeholder groups, why they matter, the methods we use to engage with them, and the results of these engagements, providing a clear overview of how we foster mutually beneficial relationships across our ecosystem.

Stakeholder group	Why they matter	How we interact	Main subject discussed	How we responded
Customers	Customers are central to our purpose. They contribute directly to revenue growth, influence our brand reputation, and shape our digital innovation agenda. Their needs inform product design, channel expansion, and service quality. Customer expectations around convenience, digital accessibility, cybersecurity, and responsible banking are key drivers of our business model.	• In person • Email • Phone calls • Social media • SMS • During onboarding process • Use of surveys/ Questionnaire • During product launches and exhibition	• Trustworthy relationship • Customer service • Reliability of digital channels • Product quality • Responsible banking • Cybersecurity and data privacy • Adherence to disability regulations.	• Provided customers with information required to make informed decisions on our products and services • Deepening relationships with customers through a life-stage and ecosystem approach • We prioritise delivering excellent customer service • We offer reliable and secure digital channels, subject to regular maintenance and updates • Protecting data privacy and ensuring cyber security through robust technology and data management • Supporting customers to protect themselves through sharing information and awareness creation • We are dedicated to providing disability-friendly facilities and services.
Investors	Investors enable financial stability, capital adequacy, and strategic growth. Their confidence influences our market valuation, cost of capital, and ability to scale products and digital infrastructure. They expect sustainable returns, risk management, and transparent reporting.	• Annual General Meetings • Phone calls • Email channel • Investor briefings • Analyst (Virtual or physical meetings)	• Strong business performance, including efficiency, revenue growth and returns • Maintaining a well-capitalised balance sheet (strong capital and liquidity positions) • Adequate, sustainable shareholder returns • Sound risk management • Transparent reporting and disclosures and effective communication • Sound ESG practices.	• Ensuring Absa is a well-diversified business, both by revenue streams and distribution • Maintaining substantial market share • Offering improving shareholder returns and a rising dividend yield ratio • Ensuring strong capital and liquidity levels to support the balance sheet • Maintaining strong governance and risk management practices that are adapted and enhanced to our context • We have a reporting suite that includes transparent disclosure on financial and non-financial information • Enhancing ESG practices and issuing disclosures through our reporting suite.

Materiality and stakeholder engagement continued

Stakeholder group	Why they matter	How we interact	Main subject discussed	How we responded
Employees	Employees are the engine of our strategy, driving transformation, innovation, resilience and customer experience. Their skills, wellbeing, and engagement directly influence productivity, service quality, and our ability to implement digital and sustainability initiatives. Their expectations around fair pay, inclusion, growth, and wellness shape our human-capital development priorities.	• Performance evaluation • Regular staff meetings • Email • Phone calls • Surveys • Teams • E-Learning Platforms • Staff briefing • One on one engagement • Regular staff meetings • Town halls	• A workplace with opportunities to contribute to society and supportive of environmental and social sustainability • A diverse, inclusive and supportive workplace where all employees are treated equitably without bias • Fair and responsible pay and terms of employment with market-related remuneration and benefits • Training, development and career opportunities • A safe workplace with consideration of overall wellness • Skills development and support to match contextual changes in the workplace • Systems and service stability to ensure service delivery • Diversity and inclusion	• Encourage and support employee involvement in environmental and social investment • Creating differentiated experiences and inspiring a diverse and inclusive workforce • Attracting and retaining the best talent • Encouraging self-led development and opportunities for career progression • Delivering performance-based reward and recognition • Providing a comprehensive wellness training programme and supporting different ways of work • Investing in technology to ease hybrid work and value creation for customers • We value diversity and inclusion, with a non-discrimination policy to mirror the diverse communities we serve.
Partners and Collaborators	Partnerships accelerate innovation, expand customer reach, enhance product capabilities, and strengthen the financial ecosystem. Strategic collaborations enable shared value and co-creation of solutions that support economic growth.	• Business meetings • Sector/ industry forums • Conferences • Phone calls	• Business growth areas • Enhancement of customer propositions • Creation of mutual value	• Working with partners to innovate in our customer offerings • Ensuring that our partners adhere to prudential guidelines • Standard enforcement for cases of systems integrations • Developing win-win opportunities for partners.
Society and Communities	Communities are a critical part of our operating environment, workforce pipeline, customer base and social licence. Societal wellbeing and sustainable development directly impact economic stability and long-term Bank performance. Social expectations drive our citizenship, ESG commitments, and community investment priorities.	• Micro lending teams • Marketing engagements • Absa news • Social Media • Feedback surveys and questionnaires	• Citizenship initiatives such as education scholarships • Environmental stewardship and protection • Food security and agricultural support • Climate smart technologies • County Integrated Development Plans • The UN SDGs • Adherence to global ESG frameworks.	• Preparing young people for the future of work through ReadytoWork programme • Advancing financial access, literacy and inclusion through training • Supporting an inclusive and responsible supply chain • Minimising the impact of our business and carbon footprint on the communities and society • Participating in policy dialogues and advocacy at country and county level • Climate financing provided for climate smart agriculture, green buildings, energy efficiency and renewable energy • Adopting leading ESG standards to enable sound governance, management and reporting on ESG aspects.

Materiality and stakeholder engagement continued

Stakeholder group	Why they matter	How we interact	Main subject discussed	How we responded
Regulators and government	Regulators ensure financial stability, market integrity, consumer protection and alignment to national priorities. Maintaining strong regulatory relationships protects our licence to operate and ensures systemic trust.	• Dialogue • Phone calls • Email • Issuing memos • One on one engagement • Regular reporting	• Compliance with all relevant laws and regulations • Financial system stability spanning financial soundness to fair treatment of customers • An ethical work environment • Contribution to Government development plans, national priorities, and through fair tax payments • Cyber security and data security • Responsible banking • Integrity and transparency in reporting • How we manage our sustainability goals across the business.	• Comprehensive regulatory change management programme • Facilitating responsible banking by ensuring appropriate due diligence is followed • Maintaining a transparent and constructive relationship with regulators • Focusing diligently on cybersecurity and customer data protection from a technology perspective • Adhering to responsible banking tenets governed by the United Nations Environment Programme • Finance Initiative (UNEP FI) banking board • Maintaining integrity in reporting by setting and adhering to standards, policies and procedures that govern the reporting • Ensuring our suppliers and service providers meet requisite legal requirements.



Climate action and environmental stewardship

Climate action and environmental stewardship

At Absa Bank Kenya, our commitment to climate action and environmental stewardship is central to our mission of fostering sustainable growth and responsible banking. Recognising the profound impact that climate change and environmental challenges present to both the financial sector and the communities we serve, we have adopted a comprehensive approach to integrating sustainability across our operations. This section outlines our ongoing efforts to manage climate-related risks, identify opportunities for positive environmental impact, and advance our sustainability agenda through robust risk management frameworks and proactive strategies.

How sustainability and climate risk are cascaded across the entity

The Bank has identified three lines of defence that have been put to allow it to integrate climate and sustainability risks into the Enterprise Risk Management.

Line of defense	Responsibilities
First line of defence	**Business Units** • Perform business activities to fulfil strategic objectives and in line with approved sustainability and climate risk appetite • Manage sustainability and climate risks incurred in the business activities and manage the associated risk profile within risk appetite • Respond to sustainability and climate risks through choices to avoid, mitigate, transfer, or accept the risks • Design, operate and test effective controls and procedures in line with sustainability and climate risk policies • Inform on material sustainability and climate risk breaches to senior managers, risk, and compliance (including oversight committees) • Remediate risk appetite breaches in accordance with second line of defence and oversight committee activities.
	Sustainability Team • Own the Bank's climate-related risk and opportunities-including green finance • Aid in determining the Bank's sustainability and climate risk appetite • Monitor, challenge and validate the Bank's sustainability and climate risk profile integrating all-risk types against the agreed risk appetite • Support existing risk types to develop and implement appropriate risk and control libraries • Develop and implement ESG policy and standards, conduct bankwide training in support of sustainability and climate risk policy • Conduct reviews together with Risk Functions to assess if business areas/functions comply with the sustainability and climate risk policy.
Second line of defence	**Risk and Compliance Teams** • Review and update sustainability and climate change policies and standards, and undertake periodic assurance activities to assess compliance and effectiveness. • Set the sustainability and climate change risk appetite for the Bank and its business functions in conjunction with first line of defence teams • Perform independent review and challenge of sustainability and climate change risk profiles across the Bank • Evaluate the quality of risk management exercised by the first line of defence • Assess adherence to internal tools, including the Environmental and Social Management System (ESMS) • Embed the requirements of sustainability and climate change risk within areas of responsibilities in the Bank • Where deemed appropriate and in the event of risk appetite breaches, direct the activities to first line of defence to ensure that risk profiles align to the approved risk appetite • Perform assurance testing of the first line against set limits and constraints.
Third line of defence	**Internal Audit and External Audit** • Provide independent review of the adherence to sustainability and climate change risk policies and standards as well as the effectiveness of the control environment • Opine on the adequacy and effectiveness of the first and second line of defence risk management approaches.

Climate action and environmental stewardship continued

Metrics and targets

Target	Metric (KPI)	Performance as of 2025	Current mitigation and adaptation efforts	Anticipated mitigation and adaptation efforts
Transition Risk Assessment – Priority sectors	• Establish materiality and baseline exposure to climate sensitive sectors for Transition Risk.	High level assessment (Business Environment Scan) on all seven-priority climate sensitive sectors that are in-scope: Agriculture, Real Estate (CPF and Mortgages), Transport and Logistics, Energy and Water, Mining and Quarrying , Manufacturing and Construction qualitative statements complete.	• Establish materiality and baseline exposure to climate sensitive sectors for Transition Risk • Qualitative statements completed • Quantitative statements on track for 2026	• Materiality assessments to map out climate risks arising from climate change and assess current transition climate risk exposure is in progress • Scenarios are aligned to the Network for Greening the Financial System (NGFS) scenarios and Net Zero 2050; Delayed transition and current Policies adopted, including qualitative Risk Appettite Statement (RAS).
Physical Risk Assessment – Priority sectors	• Establish materiality and baseline exposure to climate sensitive sectors for Physical Risk.	High level assessment on all seven-priority climate sensitive sectors that were in-scope: Agriculture, Real Estate (CPF and Mortgages), Transport and Logistics, Energy and Water and Mining and Quarrying, Manufacturing and Construction qualitative statements complete.	• Establish materiality and baseline exposure to climate sensitive sectors for Physical Risk • Qualitative Risk Appetite statements completed • Quantitative statements on track for 2026	• Map out climate risks arising from climate change and assess current Bank's climate risk exposure • Inputting geolocation data of our collaterals on our developed vulnerability tool to necessitate scenario analysis and stress testing and qualitative statements for RAS completed.
Financed emissions	• To get a baseline for all climate sensitive sectors to support emissions target setting.	• Full solar installation is in progress; with a target of 51 branches and HQ+ 61 ATM's • 4 branches already scoped • Pilot on financed emission for 4 clients proceeding well ahead of Dec 2025 deadline • Full rollout of scope 3 for all high emission customers scheduled for 2026-2027 ahead of CBK Deadline of Jan 2028 to start reporting.	• Executing our net zero portfolio strategy focusing on renewable energy and energy efficiency.	• Executing our net zero portfolio strategy focusing on renewable energy and energy efficiency.
Own emissions	• Achieve net zero by 2040 and reduce scope 1 and 2 carbon emissions by 51% by 2030.	• Automated our GHG emission calculation • Achieved 41% reduction on scope 2 as compared to baseline 2019.	• Executing our net zero portfolio strategy focusing on renewable energy and energy efficiency.	• Executing our net zero portfolio strategy focusing on renewable energy and energy efficiency.
Management of Environmental and Social Risk (ESMS)	• Embedment of Environmental and Social Risk Management across the business • Efficiency of Environmental and Social Risk Assessment (ESRA) tool implementation across the business (RBB, CIB) • ESMS Reporting (improved analytics).	• Efficiency of Environmental and Social Risk Assessment (ESRA) tool implementation across the Retail, Business and Corporate Banking (RBB, CIB) • Automated the process of screening, ranking and monitoring of all transactions against sustainability criteria.	• E&S screening of transactions for PPB, Business and CIB.	• Enhance embedment of E&S Risk Management across the business • Efficiency of ESRA implementation across the business (ESRA Automation) • ESMS Reporting (Improved Analytics).

Decarbonisation strategy and Net Zero targets

Absa Bank Kenya initiated its decarbonisation journey in line with the Absa Group's 2050 decarbonisation strategy. We are working to lower emissions throughout our operations and are considering offsetting strategies, particularly for financed emissions (Scope 3). Our goal is to achieve net zero for Scope 1 and 2 operational emissions by 2040, and for Scope 3 financed emissions by 2050.

For the Bank to effectively deliver on its long-term targets of net zero in its operations, the Bank has set out the following:

- Enhance energy efficiency throughout the entire Bank and all branch locations. Solarisation of our branch network (Grid tied hybrid model to harness daytime solar energy), picking up from a retrofit of all our Absa sites which has seen 41% reduction in cost of energy
- Attain EDGE certification for all Bank-owned premises (currently five premises certified, which represent 6% of all Bank-owned premises)
- Gradually upgrade our backup energy sources from generators to renewable energy by 2040.

Capital allocation and internal carbon pricing

To advance its decarbonisation strategy, the Bank has established multiple capital allocations. Sustainable finance at Absa refers to the funding of products, services, and investments that promote environmental, social, and governance objectives, such as green buildings, renewable energy, energy efficiency, and inclusive finance solutions aimed at supporting long-term sustainable development and shared prosperity. Climate finance, on the other hand, denotes Absa's focused investment in projects and products designed to lower greenhouse gas emissions, facilitate low-carbon transitions, and strengthen climate resilience.

This capital allocation to support decarbonisation can be summarised:

The Bank is not currently using any internal carbon pricing to value the tonnes of greenhouse gasses it emits.

Aspect	Capital allocation
Sustainable finance	Shs 55.3bn
Climate finance	Shs 6.5bn
Absa Kenya Foundation	Shs 145m

Green House Gas (GHG) Emissions

We have been consistently monitoring our Greenhouse Gas (GHG) emissions since 2022 and have achieved a year-on-year reduction, even as the Bank continues to expand its operations within the country. Accounting for our operations' environmental impacts is crucial in helping us reduce our Greenhouse Gas (GHG) emissions in line with our broader Net Zero strategy. We calculate and monitor our emissions through the resources used in our operations, such as energy and water. These emissions are then categorised as either scope 1, scope 2, or scope 3 (financed emissions) depending on their nature.

Scope 1 encompasses direct emissions from owned or controlled sources, including diesel consumed in generators and fuel used in the Bank's vehicle fleet.

Scope 2 includes indirect emissions from the generation of purchased electricity. This includes all building-related emissions, specifically those related to energy consumption from the national electricity grid. For real estate-related CO2 emissions, all the reported emissions are derived from data provided by onsite representatives, invoices, meter readings, and, where actual data is unavailable, system-generated estimates. We use the location-based method for all scope 2 emissions calculations, in accordance with the Greenhouse Gas (GHG) Protocol's scope 2 Guidance.

Other emissions – Scope 3 These entails emissions that are attributed to the Bank's lending and investment operations and are part of scope 3 emissions, which include all indirect emissions that occur in our value chain, excluding those already covered in scope 2. Approximately 19.2% of Absa's portfolio is geared towards sectors prone to high emissions as will be covered in this report. Recognising the potential impact of our contribution to these emissions, Absa is embracing green finance, focusing on renewable energy, green buildings, energy efficiency, and climate-smart agriculture.

(NB: Scope 3 calculated in this section includes employee commute, business flights, waste, water and paper.)

Measurement method

Emissions are measured in 'tonnes of carbon dioxide equivalent' (tCO2 e), which is the standard unit for comparing the impact of different greenhouse gases relative to one unit of Carbon dioxide (CO2). Absa has calculated its carbon footprint using the revised edition of the Greenhouse Gas Protocol. The method for calculating emissions is based on operational control.

		2020	2021	2022	2023	2024	2025
Scope 1	tCO_2e (in thousands)	N/A	N/A	N/A	2.41	1.16	1.30
Scope 2	tCO_2e (in thousands)	1.34	1.32	1.24	1.14	0.84	0.70
Scope 3	tCO_2e (in thousands)	N/A	N/A	N/A	0.52	1.22	4.02
Total	tCO_2e (in thousands)	1.34	1.32	1.24	4.07	3.22	6.00

Portfolio analysis of climate sensitive sectors

The table below highlights the sectors the Bank has recognised as having increased climate-related risks. Each sector exhibits various vulnerabilities. As climate change risk management evolves, the monitoring and reporting of exposures to sectors with elevated climate risk will become more sophisticated, further aligning with IFRS S2 (climate-related disclosures) recommendations. The tables detail the actual gross loans and advances as of 31 December 2025.

Climate action and environmental stewardship continued

High emission sectors

At Absa Bank Kenya PLC, we annually conduct our exposure to high-emission sectors. In 2025, the Bank maintained these efforts and stipulated that 19% of our loan portfolio is attributed to these sectors, with manufacturing being the largest contributor at 13.7%.

High emission sectors	Loan value (Shs billion) 2024	Percentage 2024	Loan value (Shs billion) 2025	Percentage 2025	% increase/ decrease
Manufacturing	52.9	15.3%	46.9	13.7%	-1.6%
Transport, storage and communication	13.7	4.0%	15.6	4.6%	+0.6%
Electricity, gas and water supply*	2.8	0.8%	1.7	0.5%	-0.3%
Mining and quarrying	0.9	0.3%	1.7	0.5%	+0.2%

*The above data excludes renewable energy

Climate sensitive sectors

Overall, sectors identified by the UNEP as climate-sensitive constitute approximately 29.6% of the total gross loans and advances. However, excluding the real estate portfolio, which mainly comprises retail home loans, climate-sensitive sectors account for approximately 24 % of the total loans. Within these sectors, the transport and manufacturing portfolios are the largest components, representing 4.6% and 13.7%, respectively, highlighting our varied exposure to climate-sensitive sectors.

Climate sensitive sectors	Loan value (Shs billion) 2024	Percentage 2024	Loan value (Shs billion) 2025	Percentage 2025	% increase/ decrease
Agriculture hunting and forestry	14.9	4.3%	14.8	4.3%	-
Construction	0.9	0.3%	0.9	0.3%	-
Electricity, gas and water supply*	2.8	0.8%	1.7	0.5%	-0.3%
Manufacturing	52.9	15.3%	46.9	13.7%	-1.6%
Mining and quarrying	0.9	0.3%	1.7	0.5%	+0.2%
Real estate, renting and business activities	18.6	5.4%	19.5	5.7%	+0.3%
Transport, storage and communication	13.7	4.0%	15.6	4.6%	+.0.6%

*The above data excludes renewable energy



Climate action and environmental stewardship continued

Impact in Action

Transforming operational sites for a low-carbon future

Solarisation Proof-of-Concept (POC) 4 Absa sites (Nkrumah rd, Meru, Nyeri, Market branches)– Demonstrating viability

A major milestone in 2025 was the completion of solarisation Proof-of-Concept (POC) across four branches.

Results

- Efficiency improvements ranged between 30% and 51%
- Demonstrated strong technical viability
- Identified operational, maintenance, and supplier considerations for scale.

Impact:

Clear evidence that solar can significantly cut grid reliance

Foundation for portfolio-wide renewable rollout

Insights informing procurement and design specification standards.

Challenges and lessons learned

Despite the progress, the decarbonisation programme suffered several operational and strategic challenges that will shape future planning.

1. Upfront capex vs. Long-term savings

While energy-efficiency and solar solutions deliver strong savings, initial investment remains high, especially in premises with older electrical layouts requiring reconfiguration.

Lesson:

A blended financing approach and phased rollout can balance financial prudence with sustainability objectives.

2. Variability in building age and infrastructure

Absa's estate includes branches of different ages, designs, and electrical configurations. Some older sites require deeper retrofits before solar or efficiency technologies can be installed.

Lesson:

A differentiated, site-specific approach avoids unnecessary costs and ensures optimal returns.

3. Solarisation technical constraints

Technical challenges emerged, including roof structural limitations, shading, and inconsistent load profiles across some branches.

Lesson:

Comprehensive structural surveys and load-matching analysis must precede each installation to maximise output and mitigate technical risk.

4. Need for scalable O&M models

POC sites revealed the importance of robust operations and maintenance (O&M) frameworks to ensure long-term solar system performance.

Lesson:

A centralised, performance-based maintenance model will be essential for scale.

5. Data integration and system interoperability

Advanced metering and ESG data platforms have improved visibility but require ongoing integration to ensure real-time accuracy and analytics.

Lesson:

Strong ICT-energy collaboration is critical to harmonise data sources.

Moving forward: Scaling a sustainable estate

A detailed business case for network-wide scale-up of solarisation and energy-efficiency interventions is underway. It incorporates:

- Financial modelling and payback analysis
- Technical feasibility assessments
- Prioritisation based on emissions intensity
- Expected GHG reduction pathways
- O&M strategy and vendor framework

This roadmap will guide the Bank's investments in creating a low-carbon, cost-efficient, and climate-resilient operational footprint.



Climate action and environmental stewardship continued

Metrics and targets

Given the 2050 timeframe for achieving net zero, the Bank recognises that internal and external developments within this period may generate further requirements or present new opportunities in its efforts to attain net zero status. The progression towards this objective is illustrated in the summary that follows:

ISSB Section (S1/S2)	Target	Metrics	Performance FY2025	Cumulative mitigation and adaptation	Anticipated mitigation and adaptation
Governance (S1/S2)	Net Zero commitment (Operational by 2040; Financed emissions by 2050)	GHG governance, oversight and controls	Board and management oversight strengthened; automated ESG and GHG reporting system operational; climate-risk screening embedded in E&S assessments	Smart metering deployed across key premises; governance processes integrated into risk and credit committees	Expand Scope 3 coverage to include financed emissions; formalise transition plan oversight cadence
Strategy |(S2)	Decarbonise Absa's operational estate	Energy efficiency and renewables	41% reduction in energy footprint; 4-branch solar pilot delivered with 30–51% efficiency gains; business case for scale in progress	Five premises EDGE-certified; multiple HVAC/LED/load-optimisation retrofits completed	Scale solarisation across network; prioritise high-intensity sites using energy analytics; integrate green criteria into refurbishments
Strategy (S2)	Allocate 20% of capital to climate finance by 2030; 30% by 2035	Share of capital allocated to climate finance	Shs 6.5 billion climate and sustainability-linked financing disbursed; Eco Home Loan launched (up to 110% financing for green homes)	Growing green portfolio across climate-smart agri, efficiency, renewables, green buildings	Advance towards 10% green assets by 2025 and 30% by 2035; expand RE/EE lending products
Risk Management S2)	Achieve net zero by 2040 and reduce scope 1 and 2 carbon emissions by 51% by 2030.	Processes for identifying, assessing and managing climate risks	Geo-referenced tools expanded for physical-risk screening; E&S enhanced to capture transition and physical risks in high-impact sectors	Operational emissions baseline recorded at 6,006 tCO_2e to inform risk scenarios	Refine sector heatmaps; link risk appetite to decarbonisation pathways and portfolio steering
Metrics and Targets (S2/S1)	Operational emissions tracking	Scope 1 and 2 emissions; intensity	6 006 tCO_2e recorded; improved data integrity from automated accounting	Progressive reduction actions underway guided by metering and analytics	Publish intensity metrics and pathway; set site-level reduction targets
Metrics and Targets (S2/S1)	Green building certification	Number of certified owned buildings	Efficiency upgrades continued across owned buildings	Five Absa-owned premises EDGE-certified	Undertake EDGE/green assessments for additional sites; embed minimum design standards
Metrics and Targets (S2/S1)	Waste minimisation	Waste recovery rate; avoided emissions	94% waste recovery rate in 2025 (~7 tCO_2e avoided)	Recycling partnerships and segregation at source implemented	Scale circular initiatives and waste-to-value partnerships
Metrics and Targets (S2/S1)	Tree-planting commitment (supporting national 15B target)	Trees planted	283 969 trees planted as at 2025	Cumulative total: 1.5 million trees	Scale community-based reforestation to meet 10 million by 2032

Climate action and environmental stewardship continued

Green finance and sustainable products

Absa is going green. Absa has strengthened its dedication to expanding green finance, and in 2025, we introduced the Eco Home Loan. The Absa Bank Kenya Eco-Home Loan is a green mortgage product designed to promote environmentally sustainable housing by offering up to 110% financing to cover both the property purchase and eco-friendly upgrades.

It supports enhancements such as solar panels, rainwater harvesting systems, energy-efficient lighting and insulation, eco-friendly building materials, and wastewater recycling options. The loan includes associated costs like stamp duty, legal fees, and valuation charges, with repayment terms of up to 25 years. Eligible applicants include salaried individuals, SME owners, and Kenyans in the diaspora. This product helps reduce the upfront cost of sustainable housing, aligns with Kenya's low-carbon development goals, and reflects Absa's commitment to sustainability, which includes significant investments in green finance and environmental initiatives.



Biodiversity, resource efficiency, and circularity

Absa has also prioritised biodiversity and resource efficiency initiatives to support the transition towards a circular economy. This includes financing projects that promote responsible resource use, waste minimisation, and recycling, as well as supporting clients in adopting sustainable business models. By integrating circularity principles into its lending criteria, Absa aims to reduce environmental impacts while fostering long-term economic resilience for both the Bank and its clients.

TNFD Disclosures-Absa Bank Kenya signs up for TNFD Disclosures

As global awareness of biodiversity loss and ecosystem degradation intensifies, nature-related reporting has emerged as a critical extension of climate disclosures. The Taskforce on Nature-related Financial Disclosures (TNFD) provides a science-based framework that enables organisations to assess, manage and disclose their dependencies and impacts on nature, as well as the associated risks and opportunities. TNFD aligns with the same four-pillar structure used by TCFD and ISSB—Governance, Strategy, Risk and Impact Management, and Metrics and Targets—making it a natural evolution for organisations already reporting on climate. With over 1,800 organisations engaged in the TNFD Forum and more than 620 institutions globally committing to TNFD-aligned reporting, nature is rapidly becoming a core element of financial decision-making. By adopting TNFD in 2025, Absa Kenya positions itself at the forefront of emerging sustainability standards, ensuring that the Bank integrates nature considerations into its strategy, risk management, and disclosures in line with global best practice.

Water consumption and management

As part of our ongoing commitment to responsible water use and waste reduction, we replaced traditional water dispensers with stand-alone water purification points in all our branches two years ago. These stations utilise piped water, offering a more sustainable solution that aligns with our Net Zero strategy to adopt best practices and reduce water usage by at least 20 mega litres by 2040.

The introduction of these purification points has delivered several advantages. Not only have we reduced distribution costs related to water dispensers, streamlining our operations and cutting expenses, but this initiative has also helped significantly decrease plastic waste. By removing the need for single-use plastic bottles commonly used with dispensers, we are actively supporting a cleaner, greener environment.

This shift to stand-alone water purification points highlights our dedication to sustainability and minimising our ecological footprint. Using piped water and eliminating plastic waste, we are moving towards a more environmentally conscious approach to water usage across our branches.



Climate action and environmental stewardship continued

Agribusiness

Kenya is an economy that relies heavily on agriculture, and in alignment with our growth plans, our Business Banking division is actively seeking partnerships to drive expansion in the agribusiness sector, which is a key focus area for us. Some of key highlights of the year include:

Impact in Action

Participation in the Global GAP Tour Kenya 2025

Absa co-sponsored and participated in Global GAP Tour Kenya event, a platform that brought together voices shaping the future of agriculture through sustainable farming, compliance, and global market access.

Absa affirmed its commitment to walking the journey with farmers, agripreneurs, and agri-businesses, helping them build resilience, unlock competitiveness, and open doors to global opportunities.



Impact in Action

Catalysing access to financial services to women in the dairy value chain

In collaboration with one of our key partners, Women's World Banking (WWB), Absa conducted capacity building sessions for colleagues in the Rift, Mt. Kenya and Western regions to support customers in the dairy value chain.

We managed to empower 330+ dairy farmers from five dairy processors/cooperatives, with 75% of them being women, as well as train 70+ colleagues



Impact in Action

Building capacity for green investments

Absa Bank, in collaboration with the Kenya Renewable Energy Association (KEREA) and the Worldwide Fund for Nature (WWF), partnered up to conduct events aimed at making green investments more accessible, affordable, and impactful for smallholder farmers, cooperatives, and SMEs.

We reached over 200+ players across a wide range of fields, providing knowledge and technical assistance the customers would need for their transition to clean energy. The events were held in Murang'a, Naivasha, Athi River and Kitengela.



Climate action and environmental stewardship continued

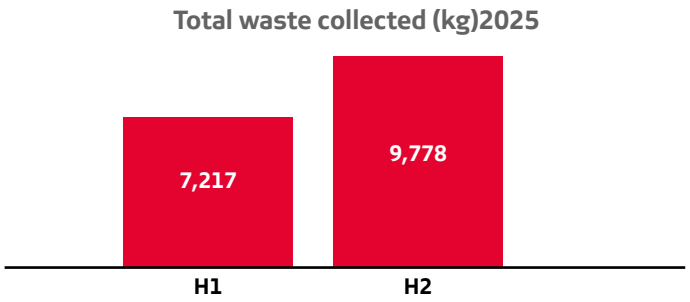
Waste management

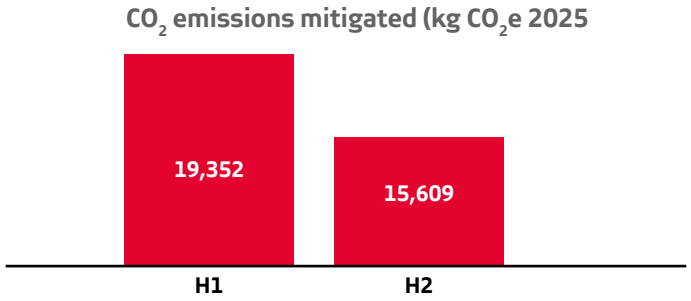
Absa Bank Kenya has proactively advanced waste management reduction through targeted initiatives that emphasise sustainability and environmental stewardship. By promoting responsible disposal practices and supporting community clean-up programmes, the Bank has encouraged its stakeholders to adopt innovative waste minimisation strategies. Additionally, Absa has worked collaboratively with local organisations to raise awareness about recycling and the importance of reducing single-use materials, demonstrating its ongoing commitment to creating cleaner, healthier environments across Kenya.

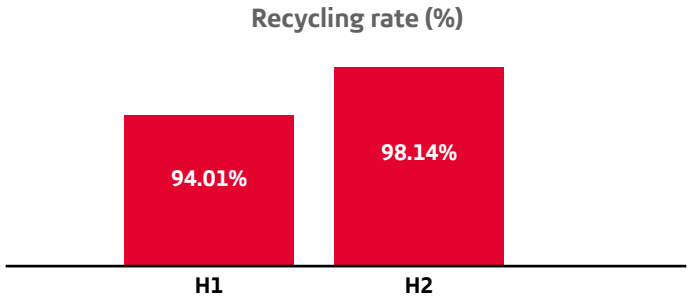
Our approach focuses on waste segregation at source, maximising recovery and recycling, and minimising waste sent to disposal. Waste services are delivered through a contracted service provider, with data consolidated from periodic waste collection and recovery records. Performance is monitored using total waste generated, waste diverted from disposal, and waste directed to disposal.

Nearly 17 tonnes of waste were diverted from landfill in 2025, with an exceptionally high recycling rate above 96%.

Metric	Full year 2025 2025
Total waste collected (kg)	**16 995**
CO_2 emissions mitigated (kg CO_2e)	**34 961**
Recycling rate (%)	**≈96.4% (weighted)**







Waste data is compiled from monthly collections aggregated into semi-annual reports provided by the waste management service provider. Waste generated is reported as total waste collected. Waste diverted from disposal is calculated based on material streams identified as recyclable or organically recoverable. Waste directed to disposal comprises residual, non-recyclable waste. No hazardous waste streams were reported for the period. The breakdown of this waste is as follows:

Type of waste	H1	H2	Total	How are they recyled
Carton and Paper	3 446	2 664	6 110	New plastics, fleece jackets, fencing poles
Residual	432	181	613	
Glass	150	325	475	New Glass
Plastic	1 420	3 046	4 466	New plastics, fleece jackets, fencing poles, fuel, plastic road polls, PP sacks, PVC pipes
Organic	1 187	1 670	2 857	Compost, animal feeds
Metals	259	140	399	New metals, new aluminium tins
Constraction materials	0	1 751	1 751	
Textile	151	0	151	Sofas
E-Waste	173	0	173	

Most of the waste generated during the year was diverted from disposal through recycling and organic recovery pathways. Recyclable materials such as paper, plastics, metals and glass were recovered through off-site recycling processes, while organic waste was directed to beneficial recovery options including composting and animal feed.

Waste diverted from disposal amounted to 16,382 kg for the year. Recovery operations are currently reported in aggregate, based on available service-provider data, and encompass recycling and organic recovery activities. Across 2025, Absa Bank's recycling programme achieved:

- 34,961 kg CO_2e avoided, equivalent to:
- Over 100,000 km of car travel avoided

The annual carbon sequestration of ~50 football pitches of forest.

A total of 613 kg of waste was directed to disposal during the reporting period. This comprised residual waste streams that could not be recycled or otherwise recovered.

2025

Waste generated: 16 995 kg | Waste recycled: 16 382 kg

Climate action and environmental stewardship continued

Adaptation, resilience, and scenario analysis

Climate change is a force that is influencing how businesses operate in the 21st century. At Absa Bank Kenya, we have been intentional and taken multiple initiatives to adjust our systems, operations, and strategies to withstand actual or expected climate impacts.

Absa Bank Kenya has undertaken a comprehensive scenario analysis of physical climate risks specific to the Bank and its operating environment in Kenya, aiming to understand how various climate change pathways may impact their credit risk exposure. This analysis utilised the climate pathways developed by the Network for Greening the Financial System (NGFS), namely the Orderly Transition, Disorderly Transition, and Hot House World scenarios. Each scenario represents a distinct trajectory for climate policy implementation and global warming outcomes, ranging from a well-managed shift to a low-carbon economy to a scenario where minimal action leads to severe climate impacts. To quantify the financial implications of these scenarios, Absa integrated the outcomes of scenario analysis into their credit risk models, focusing on three key metrics: Probability of Default (PD), Loss Given Default (LGD), and Exposure at Default (EAD). These measures help the Bank quantify the likelihood and severity of credit losses that may arise from climate-related disruptions, such as extreme weather events or gradual environmental degradation affecting borrowers' ability to repay loans.

Work in progress:

a) Stress Testing Integration:

- Absa is working towards fully embedding climate stress testing within its existing financial stress testing frameworks. This integration ensures that climate-related risks are considered alongside traditional financial risks, providing a more holistic view of the institution's risk profile.
- There is a targeted focus on sectors deemed highly vulnerable to climate change, such as agriculture, real estate, and transport. These sectors are particularly exposed to physical risks like flooding, droughts, and heatwaves, which can undermine asset values and disrupt operational and economic activity.
- Furthermore, Absa is employing geospatial risk mapping techniques to better understand and visualise the geographic distribution of climate risks. This allows for more precise risk assessment at the level of specific locations and individual assets, supporting better-informed lending and risk management decisions.

b) Data and Methodology Development:

The Bank has initiated the use of geo-referencing tools for the assessment of collateral risk. By mapping the location of collateral assets, Absa can evaluate their exposure to physical climate hazards, such as flood zones or areas prone to drought, thereby improving the accuracy of risk estimates.

Absa has also piloted the Partnership for Carbon Accounting Financials (PCAF) methodology to track financed emissions, particularly for sectors with high greenhouse gas outputs. This approach enables the measurement and monitoring of emissions linked to the Bank's lending and investment portfolios, feeding critical data into scenario analysis and supporting strategic decision-making on decarbonisation. Through these actions, Absa aims to enhance its resilience to climate risks, support the transition to a low-carbon economy, and align its risk management practices with international best practice standards. The ongoing integration of advanced data tools and scenario analysis methodologies positions the Bank to proactively manage both physical and transitional risks associated with climate change.

Green loans, renewable energy and tree planting

Absa is proactively advancing its sustainability agenda through a comprehensive approach that centres on green loans, renewable energy initiatives, and ambitious tree planting programmes. By integrating climate considerations into its financial offerings and operations, the Bank demonstrates a strong commitment to fostering environmental stewardship and supporting the transition to a low-carbon economy. These efforts are not only aimed at reducing Absa's own environmental impact but also at empowering customers and communities to make sustainable choices. The recent launch of the Eco Home loan at the unveiling of the 2024 Sustainability and Climate Report exemplifies Absa's innovative drive to promote environmentally responsible lending, while investments in renewable energy and large-scale reforestation initiatives further highlight its dedication to creating a greener future.

Green loans

Green loans have become a central pillar of Absa's sustainable finance strategy, providing customers with access to funding that supports environmentally friendly initiatives and investments. The Eco Home loan is an innovative product is specifically designed to encourage the construction or purchase of energy-efficient and environmentally sustainable homes. The loan can also be used to upgrade homes facilities through installation of solar and water harvesting facilities. By offering preferential rates and tailored financing options, the Eco Home loan not only supports customers on their sustainability journeys but also underscores Absa's commitment to driving positive environmental impact through its lending activities.

Renewable energy

Absa Bank Kenya has implemented a range of initiatives to reduce its carbon footprint by actively decreasing electricity consumption. Absa has deployed smart meter readers across key premises for real-time electricity monitoring. The Bank has upgraded five of its facilities, achieving Excellence in Design for Greater Efficiencies (EDGE) certification. Since 2019, which serves as the baseline year, we have made significant strides that have resulted in lower electricity usage, which in turn has reduced both energy costs and associated Scope 2 greenhouse gas (GHG) emissions. The impact of these efforts is illustrated as follows:

	2019	2024	2025
Electricity consumption (kWh)	6 530 896	4 058 431	3 877 178
Scope 2 (tCO_2e)	1.77	0.84	0.7
Cost (Shs' millions)	140.8	115.8	111.6

In 2024, energy costs were reduced by 37.86% compared to 2019, demonstrating Absa's commitment to efficiency and sustainability. By 2025, the reduction increased further to 40.64%, reflecting continued improvement and effective management strategies.

Moreover, the comparison between 2025 and 2024 shows an additional 4.47% reduction, signifying that Absa is not only maintaining its gains but also building on them year after year. This consistent downward trend underscores a proactive approach to energy management, resulting in impressive cost savings and a positive environmental impact.

Climate Action and Environmental Stewardship continued

Tree planting

As part of our environmental stewardship, Absa set a target to plant 10 million trees by 2032, contributing to Kenya's reforestation efforts and carbon sequestration goals. Together with our clients and partners, we believe this will enhance our commitment towards net zero. During the year, we partnered with our clients in various tree planting activities.

	2024	2025	Percentage increase
Number of trees planted	72 000	283 969	294%

Cumulatively we have planted over 1.5 million trees to date.





Inclusive finance and shared prosperity

Inclusive finance and shared prosperity

Inclusive finance and shared prosperity are foundational to our vision of sustainable development and social equity. By ensuring that all individuals and communities, especially those traditionally underserved, can access quality financial services, we empower people to participate fully in the economy. Our strategy aims to bridge gaps in financial inclusion, drive shared economic growth and support the wellbeing of society at large.

Financial inclusion strategy and outcomes

At Absa Bank Kenya, our commitment to inclusive finance is demonstrated through tailored products and services designed to reach underserved populations. By leveraging partnerships and innovative digital solutions, we aim to break down barriers to financial access and foster economic empowerments for all segments of society. Furthermore, ongoing stakeholder engagement ensures our approach remains relevant and impactful. We have created dedicated products designed to target the youth and women. This has been driven by our digitisation of the core and has been achieved through:

- **Timiza:** This product enables the unbanked and business startups to access digital financial services. In 2025, the platform lent out Shs 26.4 billion, an increase of 5% from the Shs 25.1billion disbursed in 2024.
- **Absa Next:** This is a digital financial platform that's designed to target the youth population in Kenya between the ages of 20 and 34.
- **Hello Money:** This mobile banking service enables customers to conveniently access a range of financial services, including funds transfers, balance inquiries, and bill payments. All services are available via USSD by dialling *224#.
- **Mobile branch:** This mobile branch, an industry first in Kenya, is equipped to provide services like instant debit card issuance, digital onboarding for new clients, and general customer support.
- **Ready to Work.** This is a programme that we have designed to help individuals develop essential skills for employment and entrepreneurship enabling them to become active participants in the economy.
- **Tawarruq:** This Shariah-compliant product promotes financial literacy and provides investors, particularly our LaRiba customers, with access to Shariah-compliant services.
- **Women in business:** Absa's initiative that seeks to boost women's economic participation and entrepreneurship by offering tailored financial services and capacity building in financial literacy and management skills.
- **Tuungane 2X na Absa:** This is an SME incubator programme funded by Absa and the Africa Guarantee Fund (AGF) and executed by Melanin Kapital. Its aim is to improve access to finance for women-owned and women-led SMEs.

SME and women/youth/PWD empowerment

We also prioritise support for small and medium enterprises (SMEs), as well as the empowerment of women, youth, and persons with disabilities (PWDs), through bespoke financial solutions, mentorship programmes, and capacity-building initiatives. These efforts are complemented by advocacy, training, and access to credit, helping to level the playing field and promote sustainable growth within marginalised and high-potential communities.

Digital inclusion and access to banking

Digital inclusion and access to banking are central to our commitment to expanding financial services across all segments of society. We actively invest in digital infrastructure and innovative platforms to ensure that banking is accessible, secure, and user-friendly for all our customers, regardless of their location or level of technological familiarity. Through ongoing education campaigns and tailored digital products, we strive to bridge the digital divide and empower more individuals to participate in the formal financial ecosystem.

Our initiatives are not only focused on creating innovative products and digital solutions but are also deeply rooted in fostering financial inclusion and sustainable development. By combining technology-driven offerings with targeted empowerment programmes, we can reach underserved populations and address specific barriers to financial access. This holistic approach ensures that our services contribute meaningfully to social and economic progress across the communities we serve.

The rise in electronic transactions highlights changing financial trends. With the upcoming launch of Absa Next, a digital wallet designed for Kenya's youth, users can easily send money, save, pay, and transact both within and outside the ecosystem, while earning loyalty points, all without traditional banking.

Supplier diversity and local economic development

Supply chain responsibility and inclusivity require Absa suppliers to uphold sustainable and responsible business practices, reflecting our dedication to responsible procurement and sourcing. In pursuit of this objective, we have engaged with our suppliers over the past three years through various initiatives.

As part of our 13 sustainability commitments, Absa is devoted to fostering diversity and inclusion among supplier groups identified as underrepresented, specifically women, youth, and persons living with disabilities. We aimed to ensure these groups comprise 30% of our supplier base by the end of 2030, from the current 22%.

Key actions undertaken to support these goals include:

- **Certification:** Implementing supplier screening on sustainable practices, with requirements for certification and professional accreditation where applicable.
- **Procurement management:** Developing procurement policies and procedures that integrate sustainability and climate considerations.
- **Engaging women:** Conducting capacity-building activities tailored to women-owned businesses, enabling effective participation in Bank procurement opportunities.
- **Training:** Delivering training on sustainable business practices in collaboration with Strathmore University, covering 90% of the Bank's suppliers.
- **Engaging PWDs:** Running capacity-building programmes for persons with disabilities to enhance entrepreneurship and procurement readiness.
- **Engaging youth:** Facilitating capacity-building sessions for youth in business to enable them access supply chain opportunities within the Bank and manage their enterprises effectively.

Inclusive finance and shared prosperity continued

Sourcing2Equal

Launched in 2021, Sourcing2Equal Kenya is a four-year initiative implemented by the International Finance Corporation (IFC) in partnership with the Women Entrepreneurs Finance Initiative (We-Fi) and the Government of Norway. Its purpose is to advance Kenyan Women-Owned Small and Medium Enterprises (WSMEs) by increasing their access to corporate procurement opportunities and enhancing corporates' ability to procure from women-run or owned businesses. The project is aligned with Absa Group's ESG agenda, focusing on diversity and inclusion, financial inclusion, and climate action.

During its four-year span, Sourcing2Equal has accomplished the following:

- Supported over 1,500 women entrepreneurs through capacity building, procurement readiness training, and matchmaking with large corporates.
- Facilitated the awarding of more than 150 procurement contracts to new women entrepreneurs via participating corporations.
- Developed the Sourcing2Equal diagnostic tool, designed to assess supply chains and identify areas to expand procurement spending and contracts with women-owned businesses.
- Advanced Absa's 13 sustainability commitments by providing supplier diagnostic tools, assisting the Bank in diversifying its supply chain to include 30% women, youth, and persons with disabilities in alignment with the Government's 30% tender allocation policy for these groups.
- Collaborated with IFC to create a supplier diversity policy and standard, ensuring the inclusion of special groups in our procurement processes. Future plans include launching a supplier webpage to accelerate our supplier diversity targets via capacity building and prequalification.
- Enhanced supplier training and development, with buyer-supplier workshops focused on training, capacity building, and networking proving highly effective in promoting supplier diversity.

In 2025, we were appreciated by the IFC for our campaign Sourcing 2Equal championing gender inclusive procurement.



Inclusive finance and shared prosperity continued

Absa Kenya Foundation

In 2024, Absa Kenya Foundation was established to support the Bank's sustainability goals by empowering communities through inclusive and innovative programmes. The Foundation supports financial projects that address sustainability challenges and promote prosperity. The structure of the Foundation is as follows:

Absa Kenya Foundation Strategy

VISION

To be an active force for good in our communities

MISSION

Empowering communities through innovative programmes and partnerships that build sustainable prosperity for all

EMPOWERMENT PILLARS

Entrepreneurship	Education & Skills	Natural Resource Management	Health & Humanitarian Relief
Increase the number of enterprises that are formalised so that they can access diverse financial products by providing Business Advancement & Support Services for sustainable growth	Increase the number of employable youth who are equipped with future skills enabling them to be emotionally, socially and technically aligned to economic and industry needs	Catalyse communities and all actors towards mitigation and adaptation interventions that enable societal transformation towards low-carbon and climate resilient sustainable development	Demonstrate empathy by responding responsibly to human crises and societal need for health and well being through preventive initiatives

Empowering Your Story

EXECUTION ENABLERS

Strategic Partnerships | Innovation | Technology | Bank Infrastructure | Implementation Capacity | Sufficient Funding | Effective Communication

OUR CULTURE

Trust | Resourceful | Stewardship | Inclusion | Courage

OUR BENEFICIARIES

MSMEs | Youth, Women & PWDs | Communities

Achievements of Absa Kenya Foundation

In 2025, Absa Kenya Foundation reaffirmed its dedication to creating sustainable impact throughout Kenya by advancing its three strategic pillars:

- Education and skills development,
- Entrepreneurship and;
- Natural resource management.

Guided by the Group Citizenship strategy and grounded in shared value, the Foundation's interventions reached young people, communities, and ecosystems across diverse regions nationwide. Over the year, strategic partnerships were strengthened, visibility was enhanced, and impact deepened through collaborations with universities, youth platforms, community organisations, and environmental networks.

Education and skills development

Throughout 2025, the Foundation scaled up initiatives aimed at equipping youth with relevant skills for employability, extending its reach within universities and youth platforms.

a. Safaricom Blaze Festival – Kenyatta University Edition

Absa Kenya Foundation took part in the 2025 Safaricom Blaze event at Kenyatta University, engaging thousands of young people through:

- ReadytoWork modules covering digital, financial, workplace, and entrepreneurial skills
- On-the-spot mentorship and career guidance sessions
- Financial literacy clinics facilitated by Absa staff volunteers

This engagement increased Absa's visibility among youth and established the Foundation as a leading partner in employability and future-skills training.

b. University Partnership Outreach

The Foundation broadened its ReadytoWork and career-readiness programmes in collaboration with several institutions, including:

- Riara University
- Dedan Kimathi University of Technology
- Association of Medical Students University of Nairobi (AMSUN)
- Chuka University
- Multi Media University
- St. Paul's University

Key activities delivered under these partnerships included:

- In-person ReadytoWork training workshops
- CV writing and interview masterclasses
- Digital skills labs, featuring cybersecurity awareness
- Access-to-opportunity sessions linking students to internships and scholarships

Across 2025, these collaborative efforts reached thousands of students, equipping them with market-aligned soft skills essential for 21st-century employability.



c. Absa–Girl Code Hackathon

This hackathon brought together young female developers from universities and technology communities nationwide. Participants gained hands-on experience through coding challenges, mentorship from Absa engineers, and exposure to real-world problem-solving within the financial services sector. The initiative enhanced the pipeline of women in technology and built confidence, teamwork, and employability skills.

d. My Little Big Thing (MLBT) Sustainability Innovation Challenge

Delivered in partnership with MK-Africa, this challenge encouraged youth-led climate and sustainability solutions by prompting students to design innovative ideas aligned with the UN Sustainable Development Goals. Participants received coaching on business modelling, pitch delivery, and digital innovation, culminating in high-impact sustainability concepts with potential for further incubation and future partnerships.



Impact in Action

Absa Girl Code Hackathon 2025
Advancing digital inclusion and gender equity in technology

In October 2025, Absa hosted a 30-hour Pan-African Women in Tech Hackathon at its Nairobi headquarters, held concurrently across seven cities in five African countries. This multi-country initiative demonstrated Absa's commitment to driving innovation, inclusion, and cross-continental collaboration.

As a flagship Girl Code initiative, the hackathon reinforces Absa's leadership in advancing diversity, equity, and inclusion within Africa's technology ecosystem. By empowering young women to develop solutions in FinTech, Cybersecurity, and Artificial Intelligence, the programme supports efforts to close the digital gender gap and expand economic opportunities, aligning with Absa's Social Sustainability priorities.

The 2025 theme, ***"Future Proofing Africa: Innovation at the Intersection of FinTech, Cybersecurity, and AI,"*** reflects Absa's vision for a digitally resilient and inclusive African future driven by home-grown talent.

Participation and partnerships

In Kenya, the Hackathon attracted over 1,900 applications, illustrating the strong appetite among young women to participate in digital innovation. From this pool, 100 participants were competitively selected and grouped into teams of two to four to solve real world challenges for a grand prize of USD 5,500.

The initiative also mobilised a strong network of partners who share Absa's commitment to youth empowerment and gender inclusion in technology.

Key partners included:

- **Kapa Oil** – provided essential toiletries that supported participants and mentors throughout the event and take homes that could last over 2 months.
- **Telekom** – provided reliable internet connectivity to enable seamless collaboration and coding.
- **Safaricom Blaze** – deployed mentors who guided and coached participants during the 36 hour innovation sprint.
- **My Little Big Thing and Women in Technology Kenya** – served as external judges, reinforcing transparency and industry credibility.

These partnerships highlight a growing ecosystem of corporates and social impact organisations committed to advancing digital skills for women.

Innovation and impact

Following a rigorous three-hour judging process, Team Avytria comprising Dorcas Kalaka, Faith Chemutai, Mawia Katiwa, and Veronicah Anzimbu emerged as the Kenya winners and were selected to represent the country at the continental finals.

Their AI-powered solution, Jasho – Powering Your Hustle, promotes financial inclusion for gig workers and persons with disabilities by enabling expense tracking, personalised financial coaching, and AI-driven fraud detection, aligning with Absa's commitment to inclusive financial systems.

Each team member received learning and innovation support tools, while members of the top three teams were enrolled in the ALX Business Acumen programme through the Absa Kenya Foundation–ALX partnership, equipping them with essential entrepreneurship and leadership skills.



Innovations from other participating cities

Across the seven participating cities, remarkable solutions emerged that showcased the creativity and technical expertise of young women across Africa:

- **Cape Town:** *Team Ndlela* developed ***AI Career Coach***, an AI enabled platform offering personalised career and upskilling guidance to individuals at different stages of their professional journeys.
- **Dar es Salaam:** *The Tokiva Sisters* created ***PayNest***, a secure digital platform that unifies multiple digital wallets into one system. The solution integrates biometric budgeting and intelligent payments feature, providing users with a seamless and secure financial management tool.
- **Durban**: *Team CyberShield Africa* introduced ***Rural Cyber Application,*** a solution designed to raise cybersecurity awareness in rural communities and enhance digital safety practices.
- **Gaborone:** *Team CredilQ* built an ***AI powered credit intelligence platform*** that strengthens linkages between Small and Medium Enterprises (SMEs) and financial institutions, enabling improved credit access and informed lending decisions.
- **Johannesburg**: *Team TechGurlie*s developed ***FinLit GPT,*** an AI powered application that delivers interactive financial literacy support to young people, promoting responsible financial behaviour and long term economic empowerment.
- **Kampala:** *Team Code Force* created ***Teleka***, a platform that helps students save, organise, and invest their money—cultivating financial discipline among young learners.

Continental winner

The overall grand winner of the 2025 Pan African Hackathon was **The Tokiva Sisters** from Dar es Salaam, Tanzania, recognising the transformative potential of their PayNest solution.

Inclusive finance and shared prosperity continued

Entrepreneurship

The Foundation continued its support for MSMEs, start-ups, and youth-led ventures by providing business training, financial literacy, and access-to-market interventions. University engagements included entrepreneurship skilling, supplemented by:

- ReadytoWork entrepreneurship modules
- Business clinics carried out by Absa frontline teams
- Sessions demonstrating digital banking tools that aid MSME formalisation and growth

These initiatives reflected Absa Kenya Foundation's long-term commitment to fostering inclusive economic participation.

Natural Resource Management (NRM)

Absa Kenya Foundation advanced Kenya's climate resilience, biodiversity, and environmental stewardship through its NRM pillar, which delivered significant environmental results via tree-planting and restoration programmes across multiple locations.

a. Urban Greening – Ngong Forest

In partnership with the Kenya Forest Service (KFS) and local community forest associations, the Foundation conducted large-scale tree planting in Ngong Forest, focusing on:

- Planting 2,000 indigenous tree species
- Rehabilitating degraded forest blocks
- Engaging local communities in conservation efforts

b. Coastal Restoration – Malindi

Efforts in Malindi centred on restoring coastal ecosystems through tree planting and community conservation awareness, building on previous mangrove restoration initiatives. Activities included:

- Planting specially adapted mangrove species (240,000 mangrove seedlings planted)
- Youth engagement in climate-awareness dialogues
- Partnerships with beach management units for long-term care (20 members involved)

c. School-Based Greening Initiatives

Several schools across Kenya benefited from tree planting, strengthened environmental clubs, and sustainability education, which included:

- Climate literacy sessions for students (18,657 students reached)
- Establishment of micro-tree nurseries to support ongoing greening programmes (31,269 trees planted)

These initiatives promoted environmental stewardship among young learners whilst enhancing school ecosystems.

d. Be the Difference Day (BDD) – National Impact

In 2025, the BDD campaign mobilised Absa colleagues nationwide in a powerful demonstration of community service. Activities included:

- Tree planting initiatives
- School mentorship sessions
- Donation drives supporting vulnerable communities
- Skills-based volunteering, with staff offering their professional expertise to social enterprises and youth groups

This event reinforced Absa's ethos of purpose-driven citizenship and strengthened ties to local communities.



Trust, ethics and responsible governance

Trust, ethics and responsible governance

At Absa Bank Kenya, trust, ethics, and responsible governance are the cornerstones of our operations. We are committed to upholding the highest standards of integrity in every aspect of our work, ensuring that our programmes and partnerships are conducted transparently and with accountability. Guided by robust ethical frameworks and governance structures, we foster a culture of responsibility and ethical conduct throughout the organisation, promoting stakeholder confidence and long-term sustainability.

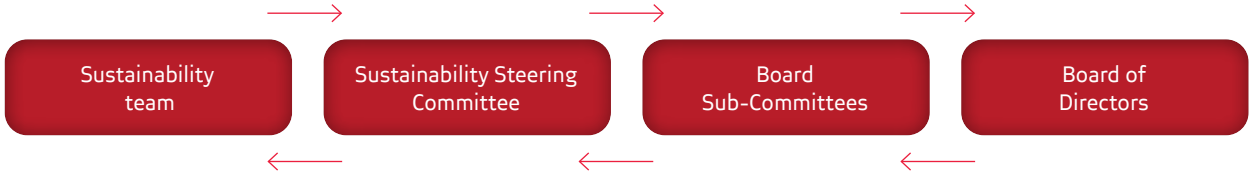


Governance structure and Board oversight

At Absa, the Board of Directors serves as the highest authority in decision-making. The Board is ultimately responsible for establishing and monitoring the Bank's strategy, business plans, annual budgets, and risk management framework. Its oversight also encompasses stakeholder engagement, regulatory compliance, transparency, and accountability. The Board evaluates sustainability and climate-related risks and opportunities within the scope of its responsibilities. According to the Board's Charter, oversight of sustainability and climate-related matters is supported by several established functions throughout the organisation. The Board sets or approves targets relating to sustainability and climate risk management.

Strategic governance is essential for overseeing issues with significant financial or reputational implications and for managing sustainability and climate-related risks and opportunities. As the principal decision-making body, the Board supervises the execution of the sustainability commitments, addressing related risks, impacts, and opportunities. Additionally, it ensures adherence to the Central Bank of Kenya's requirements for evaluating and managing climate-related risks across the Bank's portfolio.

To remain informed about developments in sustainability and climate change, the Board meets quarterly. These meetings incorporate discussions on the Sustainability Agenda and climate-related topics. The sustainability team provides updates on these areas through Board Sub-Committees, ensuring that the Board remains well-informed regarding sustainability and climate-related risks and opportunities, as demonstrated in the accompanying flow chart.



Board structure

As a demonstration of Absa Bank Kenya PLC's commitment to diversity and inclusion, the summary provides an overview of the composition of the Board and its key committees, highlighting localisation, representation of persons with disabilities (PWD), gender balance, and nationality.

Board Member	Committees	Gender	Nationality
Mohammed Nyaoga	CGNRC, SC	Male	
Louis Otieno	ARC, SC	Male	
Charles Murito	CGNRC, CC, SC	Male	
Fulvio Tonelli	ARC, CC, SC	Male	
Abdi Mohamed		Male	
Yusuf Omari		Male	
Christine Sabwa	ARC, CC	Female	
Kedibone Imathiu	ARC, CGNRC	Female	
Marion Mwangi	ARC, CGNRC	Female	
Caroline Armstrong	SC	Female	

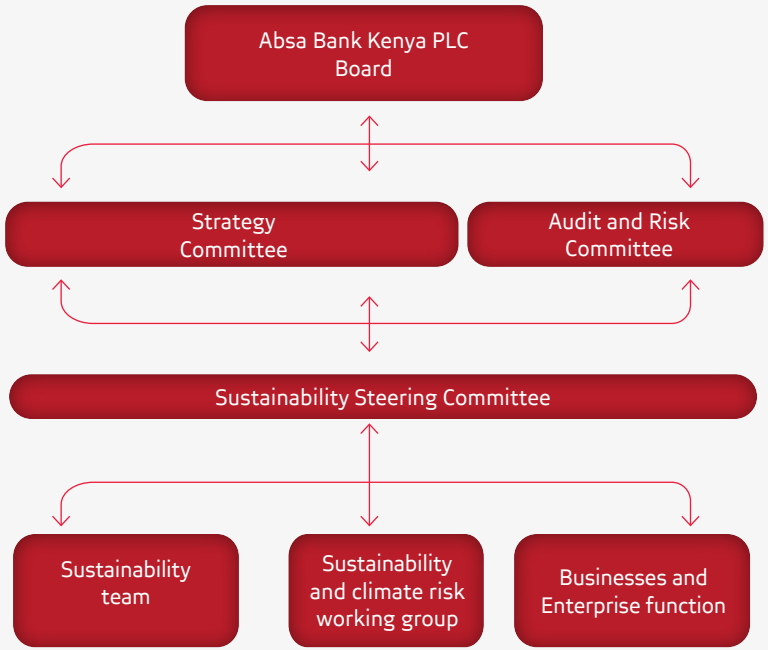
Body	Local members	Gender (M/F)	Nationality represented
Board of Directors	80%	6/4	
Audit and Risk Committee	60%	2/3	
Strategy Committee	80%	4/1	
Corporate Governance, Nominations and Remuneration Committee	75%	2/2	
Credit Committee	67%	2/1	

Trust, ethics and responsible governance continued

Suatainability and climate governance structure

Our leadership, organisational structures, cross-functional collaboration and decision-making processes support our Board and Management team in executing our strategy and delivering our strategic objectives. Our governance structures and processes support the decision-making that enables us to navigate the necessary trade-offs between the capitals.

The Board is structured into the main Board and comprises four Board committees, as shown in the diagram below.



Board oversight of sustainability

Absa Bank Kenya PLC Board

This is the highest governance level that's charged with the responsibility of providing overall oversight on strategic, financial and sustainability matters.

The Board of Directors, led by the Chairman, provides strategic oversight on sustainability and climate issues. It reviews progress against targets and ensures alignment with global standards like ISSB (IFRS S1 and S2) for disclosure comparability and investor confidence.

Sustainability is treated as a business imperative, not a peripheral activity. The Board embeds it as a core lens for evaluating risk, opportunity, and long-term impact across all decisions.

Board Sub Committees

Board Strategy Committee (SC)

The Board Strategy Committee guides the Bank's strategy, oversees the creation and execution of its strategic plan, and prepares mitigation strategies for risks, including those related to sustainability and climate change.

Board Audit and Risk Committee (ARC)

The committee ensures accurate financial reporting by the Bank and oversees internal controls and risk management systems.

The Board's Audit and Risk Committee remain committed to integrating sustainability into the Bank's overall risk management strategy through the following measures:

- Incorporating sustainability and climate-related risks into the development of the Bank's business model and Enterprise Risk Management Framework.
- Assessing, quantifying, and reporting to the Board on the Bank's exposure to sustainability and climate-related risks across various business lines, alongside other key risks such as credit, market, and operational risks.
- Overseeing the formulation and implementation of the Bank's sustainability and climate risk strategy.
- Approving the allocation of resources necessary for the effective execution of the sustainability and climate risk strategy and framework.
- Exercising oversight over the Bank's exposure and response to sustainability and climate-related issues, ensuring these considerations are embedded into the risk management framework.
- Ensuring the robust implementation of the sustainability and climate strategy by actively monitoring the development and achievement of related objectives and reporting requirements, including:
    - Setting the Bank's sustainability and climate-related financial risk appetite and ensuring these risks are managed and controlled effectively.
    - Fostering a top-down risk culture that integrates sustainability and climate considerations within business operations and decision-making processes.
    - Conducting annual reviews of regulatory reports and periodic evaluations of submissions, such as the Sustainability Report, Climate Report, and Central Bank documentation regarding climate risk implementation.

Additionally, as the Bank continues to apply ISSB standards, it anticipates conducting assurance of its sustainability and climate disclosures in future reporting cycles.

Trust, ethics and responsible governance continued

Board Corporate Governance Nomination and Remuneration Committee (CGNRC)

The committee is responsible for streamlining the Bank's governance structure, recommending individuals for board appointments, and determining compensation packages. Additionally, it oversees the formulation of remuneration policies and ensures that staff compensation is linked to key performance indicators, including ESG metrics.

Board Credit Committee (CC)

The Board Credit Committee is tasked with overseeing the Bank's credit policies and the approval of significant credit exposures. In addition to its traditional role, the committee ensures that Absa Bank Kenya integrates ESG factors into its credit evaluation process, thereby promoting responsible lending practices and supporting the Bank's commitment to sustainability. By considering environmental, social, and governance criteria, the committee helps to mitigate risks and align credit decisions with the broader sustainability objectives of the organisation.

Nomination, selection and appointment of Board members

The nomination, selection and appointment of Board members are comprehensively documented in the Corporate Governance section of our Integrated Report 2025 (page 105). The process is rigorous, structured and transparent, and is designed to ensure that the Board comprises individuals with the appropriate skills, experience, independence and diversity required to provide effective oversight and strategic guidance.



Trust, ethics and responsible governance continued

Governance themes

The Board has proactively addressed sustainability and climate change matters, as reflected in the central themes it has reviewed over the past four years.

2022	2023	2024	2025
• Updated the Terms of Reference of the Board Strategy Committee and Board Audit Committee to include climate related risk and opportunities • Conducted a board sensitisation and awareness on climate related risk and opportunities in the Bank's strategy • Integrated the responsibility of the Board to provide oversight of climate risk and opportunities • Submitted a plan to the Central Bank of Kenya (CBK) detailing how Absa Bank Kenya will identify, measure, monitor, report and mitigate climate related risk and opportunities.	• Finalised action plans for managing climate risk in line with the CBK guidelines • Reconstituted the Climate Risk Working Group • The Board committed to adopting the International Financial Reporting Standards IFRS S1 and S2.	• The Board increased investments in capacity building, particularly focusing on sustainability and ESG matters for all of the internal Bank's stakeholders • The revision of sustainability policies, including the ESG Policy, Greenwashing Policy, and Sustainability Reporting Framework, was approved • Published a Sustainability and Climate Report in alignment with IFRS S1 and S2, demonstrating early adoption ahead of the mandatory implementation date of January 1, 2027 • Launched the Absa Bank Kenya Foundation.	• Issued the second Sustainability and Climate Report aligned with the IFRS S1 and S2 • Conducted ESG and Climate risk training for its members whom some were new • The progress of the 13 Commitments scheduled for implementation from 2020 to 2025 was reviewed to inform the sustainability strategy 2026 to 2030 • Institutionalised the Absa Kenya Foundation to be the social arm of the Bank.

Trust, ethics and responsible governance continued

Management role on issues of sustainability

The Board retains ultimate responsibility for overseeing all matters; however, Management is charged with executing strategy on a day-to-day basis. Accordingly, the sustainability function is delegated to Management, with the County Management Committee (CMC) leading this initiative. The CMC is further supported by the Sustainability Steering Committee and teams drawn from various functions. Sustainability is embedded in all the Bank's functions and as such there is collaborative effort by the various departments.

The Sustainability Steering Committee, made up of representatives from each Bank department, reports directly to the Country Management Committee. Its main role is to set targets, monitor progress, and communicate updates to the CMC.

Absa's leaders at every level are committed to advancing sustainability, with implementation overseen by both the CMC and the Sustainability Steering Committee. By weaving sustainability into risk management and maintaining transparent interactions with stakeholders, we strive to create lasting value and actively support a more sustainable future.

Management roles and responsibilities

- Ensuring the Bank adheres to all sustainability related disclosures and regulatory reporting requirements.
- Engaging with other Management committees to discuss cross cutting themes such as human rights and identification of sustainability risks and opportunities.
- Defining and formally allocating roles and responsibilities, as appropriate, within Absa's structure for implementation of the Bank's climate-related risk and opportunity management framework and in line with the requirements of the CBK, NSE and other ESG best practices.
- Reviewing and monitoring all stakeholder feedback on sustainability matters and engaging as appropriate.
- Implementing the Bank's climate risk strategy through regular updates and management information.

Business and Enterprise function
Support by executing sustainability agenda.

Sustainability Steering Committee

The Committee's primary responsibility is to implement, progress and develop the Absa's Sustainability Strategy, including overseeing the Bank's most material sources of sustainability risk and opportunities, associated actions and reporting.

Sustainability team

The sustainability department, led by tthe Head of Sustainability and Corporate Communications, is responsible for day-to-day management and reporting on sustainability and climate risks and opportunities.

Climate Risk Working Group (CRWG)

This is a project team comprising of staff from various major functions across the Bank, with the aim of co-creating the Bank's Climate Risk Strategy and eventual execution. Outputs from the Working Group feed into the Sustainability Steering Committee and Executive Risk Committee (ERC) in the form of climate risk management quarterly updates.

Management's oversight on sustainability and climate matters is supported by the use of controls and procedures and has been cascaded through key subject matter and technical expertise within the Bank, ensuring that environmental and social risks and strategies are managed by appropriate internal teams, as follows:

Chief Financial Officer and Chief Risk Officer

Charged with responsibility for managing sustainability and climate-related risks and opportunities as well as formulating Sustainable Finance and Net Zero strategy.

Chief Operating and Digital Officer

Mandated with achieving the Bank's net zero at operations by 2040, supplier diversity and inclusion, as well as physical and digital accessibility.

Managing Executive - CIB* and Country Credit Director

Charged with achieving net zero at portfolio level including financed emissions by 2050.

**CIB - Corporate and Investment Banking*

Executive management plays a key role in implementing and monitoring the effectiveness of governance processes, controls and procedures, including oversight of all key activities conducted in the business such as setting sustainability and climate-related targets and strategies, net zero (and other targets) aligned operations, sustainable financing policies, and tracking progress against set strategies. Management is responsible for daily implementation of governance frameworks and controls to support compliance and stakeholder communications.

In 2025, Management through the various teams, was involved in the following key actions on sustainability and climate change:

- The Bank's Sustainability Steering Committee was involved in skills enhancement trainings covering sustainability management with emphasis on the evolving stakeholder needs and expectations.

Ethics, anti-corruption and human rights

Our commitment to ethical conduct and robust governance is demonstrated through comprehensive frameworks and policies that uphold human rights, anti-corruption standards, and regulatory compliance across all operations.

Code of Ethics: The Absa Way

Absa Bank Kenya has established a comprehensive Code of Ethics, known as the ***"Absa Way,"*** to guide its legal obligations and uphold its core values. This Code serves as a framework for acceptable behaviour in all interactions within and outside the organisation. It provides clear guidelines for engaging with fellow employees, customers and clients, shareholders, governments, regulators, business partners, suppliers, competitors, as well as the wider community.

The Absa Way underscores the significance of making ethical decisions and conducting oneself in a manner that fosters respect and trust in the organisation. It sets out explicit behavioural requirements and details the consequences for failing to adhere to these standards. By defining expected conduct for all stakeholders and reinforcing accountability, the Absa Way plays a vital role in safeguarding the Bank's reputation and maintaining stakeholder confidence.

Anti-corruption

As a responsible corporate entity, Absa Bank Kenya is fully aligned with the Group's steadfast commitment to combating corruption and ensuring compliance with all relevant competition laws and anti-trust legislation.

Our policies are regularly reviewed and updated in line with independent ratings and best practices to effectively mitigate bribery and corruption risks. In line with the Group-wide Risk Management and Compliance programme, we address financial crime holistically through policies such as the Group Anti-Money Laundering Policy, Group Sanctions Policy, and Group Anti-Bribery and Anti-Corruption Policy.

Staff in Kenya participate in regular training interventions to ensure they are well-informed about their responsibilities under relevant legislation and Group policies, and our performance management processes reinforce ethical behaviour and the consequences of misconduct.

Absa Bank Kenya ensures that the Bribery and Anti-Corruption Policy and related standards are communicated to and understood by all employees, reinforcing a culture of integrity. Contractual clauses addressing anti-bribery expectations are included in agreements with suppliers and third parties. All employees in Kenya undertake annual mandatory compliance training, including assessments and attestations, covering anti-bribery, anti-corruption, anti-money laundering, and sanctions modules, equipping them with the knowledge and skills necessary to uphold ethical standards.

Human rights

Absa is committed to shaping Africa's future through responsible business practices and a strong commitment to human rights. The Bank adheres to recognised international standards, including the Universal Declaration of Human Rights, the UN Guiding Principles on Business and Human Rights, and the African Charter on Human and Peoples' Rights, while applying context-specific approaches.

Key areas of focus

1. **Employer commitment:** Absa fosters a working environment with zero tolerance for bullying and harassment, upholding contractual rights and obligations of employees, and promoting diversity and inclusion.
2. **Financial services commitment:** The Bank considers human rights impacts in the development and provision of products and services, adhering to local regulatory requirements and international principles like the Equator Principles and UN Principles for Responsible Banking.
3. **Procurement commitment:** Absa supports human rights through its supply chain by encouraging responsible and sustainable practices, conduct and rigorous due diligence of suppliers.
4. **Community commitment:** Absa aims to support sustainable development and minimise harm to social and environmental sustainability through corporate citizenship responsibilities.

Data privacy and cyber security

In line with international best practices, the Bank ensures that data privacy and cyber security remain paramount, with ongoing investments in responsible innovation and staff training.

Data privacy

Absa Bank Kenya is dedicated to maintaining the privacy of all stakeholders' information, as reflected in its commitment to information privacy. This policy affirms the Bank's dedication to collecting, processing, and sharing personal data solely for the purpose of providing services or products. The statement is publicly accessible on the company's website.

Cyber security

The Bank has established comprehensive controls to serve as buffers for the protection of both the institution, customers and its assets. Recognising the need to adapt in an ever-evolving environment, we prioritise regularly upgrading our systems and consistently reskilling and upskilling our personnel. At Absa, we provide ongoing training to ensure that staff remain current with industry developments. In addition, the Bank maintains a robust cyber security policy requiring third parties to comply with specific information and cyber security control requirements, in alignment with industry best practices and regulatory standards.



Trust, ethics and responsible governance continued

Regulatory compliance and stakeholder trust

By fostering a culture of integrity, transparency, and accountability, Absa Bank Kenya builds trust with stakeholders and secures its reputation as a responsible corporate citizen. Upholding these principles, the Bank ensures that its practices not only comply with all applicable laws and regulatory requirements but also align with global standards of ethical conduct.

To manage these commitments effectively, Absa Bank Kenya has established comprehensive systems and structures designed to ensure robust governance and stakeholder protection. The Bank operates a dedicated whistleblowing framework, supported by secure and confidential channels such as a toll-free hotline and an independent email address monitored by an external professional services provider to guarantee impartiality and prompt response.

In 2025, Absa Bank Kenya expanded training programmes for staff and suppliers, focusing on ethical conduct, anti-retaliation, and regulatory compliance. Additionally, the policy was updated to incorporate the latest developments in data privacy law and cyber security standards, reinforcing the Bank's commitment to safeguarding stakeholder interests and maintaining transparency in all operations. These ongoing improvements demonstrate Absa Bank Kenya's dedication to continuous development and future readiness in upholding ethical standards and stakeholder trust.



Whistleblowing and grievance mechanisms



This commitment is reflected in robust whistleblowing and grievance mechanisms, which offer all stakeholders secure and independent channels for raising concerns and reporting misconduct. By reinforcing zero tolerance for retaliation and providing transparent processes for addressing issues, Absa Bank Kenya demonstrates its dedication to both regulatory compliance and the cultivation of lasting stakeholder confidence.

This proactive approach is further exemplified by Absa Bank Kenya's commitment to offering confidential and anonymous whistleblowing channels, which are accessible to all stakeholders and independently monitored to ensure impartiality and responsiveness. By encouraging the use of these channels to report any illegal, unethical, or governance-related concerns, the Bank not only safeguards its organisational integrity but also reinforces its zero-tolerance stance against retaliation. Regular oversight by the Audit and Risk Committee and the public availability of the Whistle Blowing Policy underscore Absa's dedication to transparent governance and ongoing improvement, ultimately strengthening stakeholder trust and supporting a culture where accountability and ethical conduct are paramount.

At Absa Bank Kenya, we have programmes that provides confidential and anonymous communication channels to raise concerns. The channels are available to all our stakeholders. These channels are supported and monitored independently by professional services firm Deloitte, details of which are provided below: Telephone communication:

Toll free number: 0800 722 626 (Kenya)

E-mail communication: protect@tip-offs.com

To safeguard our organisation, customers, and reputation, everyone is encouraged to use our anonymous channels for reporting any illegal or inappropriate behaviour, as well as concerns related to governance, compliance, or profitability. We enforce a strict zero-tolerance policy against retaliation or threats towards whistleblowers. The Bank ensures protection for anyone who reports inappropriate behaviour, which may include disciplinary measures up to dismissal for those who retaliate. The Audit and Risk Committee reviews whistleblowing reports on a regular basis and investigates any issues raised. Our Whistle Blowing Policy can be accessed on the Bank's website and is reviewed annually.

Innovation, digital transformation and future readiness

Innovation, digital transformation and future readiness

Building on its commitment to regulatory compliance, stakeholder trust, and robust governance, Absa Bank Kenya leverages innovation and digital transformation to anticipate and respond to evolving customer needs and industry trends.

The Bank adopts emerging technologies and agile methodologies to streamline operations, enhance service delivery, and bolster resilience in a rapidly changing financial landscape. Through strategic investments in digital infrastructure and continuous process improvement, Absa fosters a culture of forward-thinking and adaptability, positioning itself to capitalise on future opportunities while mitigating potential risks. This dedication to future readiness ensures that Absa Bank Kenya not only meets current market expectations but is also well-prepared to drive sustainable growth and customer-centric solutions in the years ahead.

Digital banking and technology adoption

Absa Bank Kenya is committed to safeguarding customer information as an essential component of responsible digital transformation. The Bank's Data Privacy Statement outlines clear principles governing the collection, processing, storage, and disposal of personal data. Personal information is collected solely for legitimate service delivery, regulatory compliance, and customer-authorised purposes. Absa applies strict controls to ensure that personal data remains confidential, secure, and protected from unauthorised access. These include secure storage protocols, encryption standards, access-control mechanisms, data minimisation practices, and regular staff training on privacy obligations.

Management approach

As part of its commitment to responsible digital banking, Absa Bank Kenya ensures that all technology-enabled services comply with applicable regulatory frameworks, including the Kenya Banking Act, the Data Protection Act (2019), and the Central Bank of Kenya's Digital Credit Providers Regulations (2022). Digital operations including mobile lending, digital payments, USSD channels, and core banking modernisation are guided by robust compliance assessments, risk-management reviews, and transparent consumer-protection practices.

Compliance performance and incidents of customer privacy breaches

Absa proactively aligns fintech collaborations, cloud deployments, and digital credit products with regulatory requirements, ensuring responsible lending standards, effective fraud prevention, transparent customer disclosures, and adherence to CBK directives governing emerging financial technologies.

Digital banking and technology adoption – Impact and enhancements

Absa Bank Kenya continued to scale its digital ecosystem with a strong focus on security, accessibility, and customer experience. The Bank is expanding the use of mobile and online platforms and is planning to introduce a digital solution that targets the youth - Absa Next. This will complement platforms at the Bank that enables customers to access a broad range of services from loan applications to digital payments conveniently and securely. In 2025, an estimated 94% of customer transactions were completed through digital or alternative channels, reflecting strong customer uptake and reduced reliance on physical branches.

To support this shift in 2025, the Bank invested Shs 4 billion in technological infrastructure upgrades, including cloud modernisation, robotics automation, machine learning capabilities, and intelligent network solutions such as Huawei's SD-WAN. These enhancements strengthened cybersecurity, improved connection reliability across branches, and enabled more personalised, data-driven customer insights — all contributing to a safer and more efficient digital environment.



AI, data analytics and operational efficiency

Absa Bank Kenya has expanded its use of artificial intelligence (AI), advanced data analytics, and automation to update its operations, improve customer experience, increase cost efficiency, and strengthen risk management. The Bank has integrated AI into areas such as credit underwriting, fraud detection, customer interactions, operational optimisation, and regulatory reporting. These initiatives align with the Bank's strategy to become a fully digitally powered institution, decrease dependence on manual processes, and position itself for growth in an increasingly digital financial environment.

Absa Bank Kenya views Artificial Intelligence (AI) as a key business enabler and has integrated AI into its operations. In 2025, the Bank updated its policies and introduced a new AI policy, while the revised data management risk policy helps Absa adapt to ongoing changes.

Maturity of AI at the Bank: Citrus

In 2025, the Bank successfully launched its proprietary AI agent, Citrus. This agent is currently being piloted to detect deep fakes during account opening processes. Additionally, Citrus has been implemented for call transcription within the Bank. It also facilitates efficient policy management, allowing stakeholders to easily engage in chat interactions for clarification on policies and procedures. As a result, stakeholder experiences have improved significantly.

Data driven sales

By effectively leveraging its data, the Bank has streamlined the delivery of customer solutions and significantly reduced the time required to generate reports, which are now centrally produced and easily accessible. A more detailed analysis of the Bank's data has led to improved billing for products and highlighted revenue leakages amounting to nearly Shs 140 million. Furthermore, the Bank has unlocked data-driven sales reaching approximately Sh 5 billion for year-end 2025.

Innovation, digital transformation and future readiness continued

Impact in Action

The MEST Africa Challenge

Absa Group has demonstrated a strong commitment to promoting the broader adoption of fintech solutions by sponsoring the MEST Africa Challenge.

Through this initiative, Absa has created a scalable, pan-African platform designed to identify, nurture, and integrate high-potential fintech innovations that align with the Bank's digital finance strategies. Startups from Absa's eight key markets including Kenya, Ghana, Botswana, Zambia, Mozambique, Uganda, Mauritius, and Seychelles participate in a rigorous selection process, with the top ten finalists presenting their ideas to Absa executives and investors for potential funding and commercial partnerships.



The initiative targets fintech categories that directly correspond with Absa's transformation agenda, including:

- AI driven credit scoring
- Smart credit and alternative lending
- Fraud and trust technologies
- Next generation payments and wallets
- Investment and wealth tech platforms
- Agri fintech engines
- Cross border trade solutions
- Omnichannel digital experiences

By focusing on these domains, Absa is intentionally sourcing solutions that have potential for integration into its ecosystem, strengthening its payments infrastructure, modernising digital lending, enhancing risk analytics, and expanding financial inclusion across underserved segments.

The challenge reinforces Absa's positioning as a digitally driven Bank that embraces collaborative innovation rather than relying solely on in house development.

With more than 2,000 entrepreneurs trained by MEST and over 90 startups funded since inception, the partnership places Absa at the heart of Africa's most active early stage tech ecosystem. It enables the Group to test emerging solutions through commercial pilots, build strategic alliances with founders, and accelerate the market rollout of relevant fintech innovations. Absa leaders highlight that this initiative allows the Bank to connect with visionary startups, strengthen its talent and innovation pipeline, and drive long term digital transformation across its markets.

The competition attracted participants from Kenya, Uganda, Mauritius, Zambia, Botswana and Ghana with Kenya having 3 of the 10 finalist spots. The winner of MEST Africa Challenge 2025 was Derick Kazimoto from Mauritius, the CEO and Co-Founder of Black Swan.



Product and service innovation for sustainability

Innovation is at the heart of Absa Bank Kenya's ambition to be a trusted brand driving a sustainable future, and a core enabler within our strategic pillars. Our approach to product and service innovation is intentional, designing financial solutions and digital experiences that support climate resilience, social inclusion, responsible consumption, and long-term economic value creation.

Innovating sustainable finance products

Absa continues to expand its suite of sustainable finance offerings that directly contribute to Kenya's transition to a low-carbon and climate-resilient economy. These green and climate-aligned lending products include:

- **Eco-Home Loan** offering up to 110% financing for energy-efficient and climate-resilient housing.

These innovations contribute to KPIs under Absa's sustainability strategy, such as developing new sustainable finance products, increasing climate finance uptake, and reducing/avoiding emissions through financed projects.

Inclusive and social sustainability product innovation

Sustainability at Absa extends beyond environmental outcomes to inclusive social impact innovations:

Timiza Micro-lending Platform: Provides fast, digital credit for underserved individuals and micro-businesses, expanding financial inclusion at scale.

Absa Next (Youth-focused Digital Banking): A cloud-native, gamified platform designed specifically for Kenya's youth demographic, supporting financial literacy and responsible financial behaviour.

Women in Business Solutions: Dedicated financial and non-financial support (training, advisory, access to markets) designed to close gender economic gaps.

Branch on the Move: A mobile branch model offering instant services in remote and underserved communities, reducing access disparities.

These innovations are highlighted further on page 44 of this report.

Embedding ESG in product governance

Absa has taken significant steps to embed sustainability at the heart of its product development governance, ensuring that environmental, social, and governance (ESG) considerations are not an afterthought but a core part of every stage of the product lifecycle. A key measure has been the implementation of ESG risk screening for Business Banking products and Corporate and Investment Banking (CIB) lending, with 100% of transactions above USD 5 million now subject to thorough ESG assessment. This proactive approach allows the Bank to identify and mitigate potential risks early, aligning new products and lending decisions with global best practices for sustainable finance.

To further strengthen its commitment, Absa has linked product development key performance indicators (KPIs) directly to sustainability objectives. Each new product is assessed against its potential to drive sustainable finance, promote financial inclusion, and support climate action. This ensures that the Bank's innovation pipeline consistently delivers solutions that not only meet commercial goals but also contribute positively to society and the environment.

Recognising that customers are central to the success of sustainable banking, Absa has embedded customer capacitation into its product rollouts. For example, sustainability training for small and medium-sized enterprises (SMEs) is now a formal KPI, equipping clients with the knowledge and tools they need to thrive in a rapidly changing business landscape. By integrating these practices, every product and service launched by Absa is intentionally designed to advance the Bank's broader sustainability strategy and create lasting value for all stakeholders.

Digital transformation has also emerged as a key lever for reducing Absa's environmental footprint. The Bank has prioritised digital-first channels, with over 94% of transactions now processed through digital or alternative platforms. This dramatic shift has enhanced customer convenience by reducing the need for branch visits, and has also lowered the carbon intensity of operations. Paperless customer journeys, enabled by solutions such as Absa Next and mobile onboarding tools, further reduce resource consumption and streamline banking experiences.

Absa's commitment to sustainability is further demonstrated through the deployment of cutting-edge technologies such as artificial intelligence (AI) and advanced analytics. By leveraging AI, the Bank has optimised credit decisions, strengthened fraud detection, refined risk modelling, and enhanced customer service, all while reducing reliance on manual processes and minimising resource use. The integration of digital authentication and automated workflows supports eco-efficient operations, reinforcing Absa's reputation as an innovator in sustainable banking.

Collectively, these initiatives illustrate how Absa's approach to embedding ESG in product governance and accelerating digital innovation is not only driving operational excellence but also delivering meaningful impact in line with the Bank's sustainability strategy.



Innovation, digital transformation and future readiness continued

Talent development, future skills and culture of learning

Our People First Strategy continued to drive transformation in 2025, focusing on culture, capability building, diversity, and innovation. Recognising that a resilient and agile workforce is essential for long-term success, we have made talent development and the cultivation of future skills central to our strategic priorities. By fostering a strong culture of continuous learning, we are equipping our employees to excel in a rapidly evolving banking environment, adapt to technological advancements, and embrace new ways of working.

Through targeted training programmes, leadership development initiatives, and the rollout of specialised Talent Academies, we aim to attract, nurture, and retain top talent. These efforts not only strengthen the technical and leadership skills of our people but also ensure they are empowered to meet current and future business challenges. Our commitment to a culture of learning underpins our ability to innovate, deliver excellence, and create lasting value for both our employees and the broader organisation.

Performance and talent development

Our approach to our employee performance management is evolving to become a cornerstone of the Bank's strategy, building a strong foundation for excellence, agility, and leadership.

In the year, the Bank transitioned from a 6-point rating scale to a simplified 3-point model: Exceeded, Met, or Did Not Meet Expectations for clarity and fairness in the evaluation process. In the case where a person fails to meet expectations, we offer a route towards upskilling to enhance their skills to the desired level.

We are committed to building strategies that attract, develop, and retain talent by equipping employees with the skills and capabilities needed to meet current priorities and future business goals. Through targeted training programmes and leadership development initiatives, we aim to create a strong foundation for growth and a workforce ready to deliver excellence in a rapidly evolving banking environment. We launched Talent Academies for Credit, Branch Operations, and SME segments to strengthen technical and leadership skills. A summary of this is contained in the 2025 Annual Integrated Report on pages 78-79.

Employee engagement, wellbeing and diversity

At Absa, we have consistently prioritised our staff and their wellbeing as an essential aspect of the Bank's core operations. Externally, this commitment is reflected in Absa Bank Kenya being nominated as a top employer for the 2025 year end; internally, it is evident in positive trends across key employee metrics year after year.

Absa Bank Kenya is committed to maintaining its position as an equal opportunity employer, which remains central to our sustainability objectives. For the year ending 2025, the proportion of female employees increased from 51% to 52%, while the percentage of male employees declined from 49% to 48%, thereby exceeding our target of a 50% female workforce. Additionally, we observed growth in the representation of women across senior, middle, and junior management positions throughout the year.

Human Capital Primary interest group: employees	unit	2021	2022	2023	2024	2025
Employee headcount	FTE headcount*	1 979	2 070	2 130	2 167	2 210
Turnover rate	%	11.9%	8.30%	8.60%	7.70%	6.2%
Female-to-male ratio	ratio	51:49	51:49	51:49	51:49	52:48
Women in senior leadership	%	P/MP –23% AVP/VP - 39%	P/MP –26% AVP/VP - 39%	P/MP –33% AVP/VP - 41%	P/MP –39% AVP/VP - 41%	P/MP - 42% AVp/VP - 45%
Training and development spend	Shs	52 000 000	83 000 000	68 000 000	95 000 000	120 000 000
Colleague experience index	%	71.9%	73.4%	75.3%	70.2%	72.2%
Job satisfaction	ratio	7.69	7.81	8.02	7.9	8.1
Employer advocacy	%	+35.47%	+41.3%	+49.6%	+30.8%	+36.6%
Participation rate	%	87%	90%	88%	92%	92%
Colleague Sentiment		Delighted-27% Satisfied-51% Not happy-22%	Delighted-27% Satisfied-51% Not happy-22%	Delighted-27% Satisfied-51% Not happy-22%	Delighted-25% Satisfied-54% Not happy-21%	Delighted-25% Satisfied-54% Not happy-21%

* Full Time Employees

People feedback

Colleagues who...	2023	2024	2025
Are proud to be working for Absa	90.4%	91.4%	91%
Inspired by Absa's purpose and look for ways to live this in their everyday work	89.9%	91%	90%

Innovation, digital transformation and future readiness continued

Diversity and inclusion

Our diversified workforce continues to be central to our transformation and sustainability approach. Absa, committed to equal opportunity and sustainability, aims for Persons with Disabilities (PWDs) to comprise 5% of its workforce, in addition to ongoing efforts to increase the number of women in both the Board and Management. In 2025, the Bank hired an additional 10 employees with disabilities, increasing the total number of PWD employees to 46. This raised PWD representation to 2% of the workforce.

Innovation and future skills

We launched an Innovation Hub where our employees can submit ideas through a portal for review, prototyping, and senior leadership sponsorship. Engagement with the portal has risen, resulting in 80+ submissions to date.

Absa is committed to developing the skills of employees by providing structured training, including both virtual and in-person opportunities. Investing in reskilling, upskilling, and foundational data skills is crucial for developing a future-ready workforce. By equipping employees with the latest skills and knowledge, the Bank ensures that its workforce is prepared to meet the challenges of a rapidly evolving financial services industry. The Bank is investing in advanced skill development via Udemy, sustainability training, and leadership programmes like 'She Rises' to build people capability, promote responsible business practices, and support diverse leadership. We also consistently encourage our employees to develop and maintain AI competencies as the organisation evolves through the adoption of AI solutions.

This proactive approach to employee development aims to foster a culture of continuous learning and adaptability, which are essential traits for future success. Employees who are well-versed in digital tools and data insights can drive innovation, improve efficiency, and respond effectively to emerging trends and client needs. Ultimately, this investment positions colleagues to remain competitive and resilient in the face of future disruptions, improve efficiency, and respond effectively to emerging trends and client needs.

Reward and retention

We implemented a refreshed Employee Value Proposition (EVP) and revised remuneration structure based on market benchmarks and macroeconomic realities. We ensured minimum pay increases for all employees, while maintaining competitive positioning through salary surveys.

We strengthened retention strategies through succession planning, top talent development, and deep engagement conversations.

We will continue to invest in talent longevity, employee wellbeing, and future-ready skills, while fostering an environment that encourages innovation and inclusion. Our goal remains clear: to build a resilient, high-performing workforce that drives sustainable growth.



Employee wellbeing and agile, collaborative work practices

At Absa, fostering employee wellbeing remains a core priority as we advance towards a digitally enabled and resilient organisation. All staff are protected through a comprehensive insurance policy, ensuring their health and safety are always safeguarded. The Bank also upholds the highest standards in the maintenance of its equipment and premises, resulting in no reported workplace fatalities or casualties for the year ending 2025.

The Bank participated in the 38th edition of the Kenya Bankers Association (KBA) Interbank Games, demonstrating our commitment to embedding wellness within our employee value preposition.

Impact in Action

Extending wellbeing beyond the workplace

Absa's investment in sport extends beyond employee participation. Over the years, the Bank has sponsored major sporting events such as the Absa Kipkeino Classic and the Magical Kenya Open presented by Absa, recognising the role of sport in building social cohesion, community connection, and national pride.

Through initiatives such as the KBA Interbank Games, Absa Bank Kenya demonstrates how employee wellbeing, leadership engagement, and community connection can be integrated to build a resilient, engaged, and high-performing workforce. The games also align with the Absa Bank Kenya wellness month of September.

Stand out performance were delivered by the Absa swimming teams led by Valentine Mghoi, who won gold in the women's 50 metres backstroke for the fourth year in a row and breaking the games record with a time of 49.15 seconds. She also secured gold in the women's 50-metre freestyle.

Senior leaders competed alongside colleagues, underscoring the importance of physical and mental health at all levels of the organisation. The Director of Partnerships, Elizabeth Wasunna-Ochwa, won gold in the women's 50-metre freestyle.

Innovation, digital transformation and future readiness continued

Alongside physical and financial wellness initiatives, the bank offers regular health check-ups, fitness programmes, ergonomic assessments, and financial literacy support. Absa recognises that the way we work is pivotal to our success in a rapidly changing market landscape. By embracing Agile, hybrid, and collaborative working practices, the Bank empowers teams with greater flexibility and adaptability. These approaches enable employees to contribute their expertise wherever they are, respond swiftly to evolving business needs, and cultivate a culture of open collaboration.

This environment of shared innovation and collective problem-solving not only accelerates decision-making but also positions Absa to harness employee talent more effectively. It supports our commitment to responsible business, drives operational excellence, and ensures we are equipped to lead in serving customers and stakeholders. By integrating wellbeing with agile and collaborative work, Absa strengthens its ability to build a resilient, forward-thinking organisation focused on sustainable growth and long-term value creation.

Impact in Action

Colleague stories that strengthen our culture, brand and performance #IamAbsa

At Absa, our people strategy is a core driver of long-term value creation. Our ambition to be the Home of Africa's Leading Talent reflects a deliberate focus on building organisational capability, leadership depth, and a culture that consistently sustains performance.

In 2025, we refreshed ***#IamAbsa*** as a strategic colleague storytelling platform, strengthening its role as a bridge between internal culture and external brand equity. The refresh was launched during a colleague engagement session in Mombasa and subsequently embedded into regional leadership visits, reinforcing alignment, visibility, and authentic engagement across the organisation.

At its core, #IamAbsa provides colleagues with a platform to tell their own stories, stories of growth, resilience, collaboration, and impact. These narratives reflect what it means to work at Absa and bring our values to life in a way that is authentic and lived. By giving colleagues a voice, the platform strengthens pride, belonging, and connection to the organisation's purpose, while reinforcing a shared understanding of how individual contribution supports broader business outcomes.

This approach is closely aligned to our Employee Value Proposition, anchored on Care, Contribution, Culture, and Career. Through #IamAbsa, colleagues see how the organisation invests in their wellbeing, recognises contribution, fosters an inclusive and values-led culture, and supports continuous growth and development. This clarity of experience supports stronger engagement, more effective collaboration, and consistent execution across teams.

The impact of this focus is reflected in both internal and external outcomes. In 2025, Absa was certified as a Top Employer for the fifth consecutive year, an independent validation of the strength and consistency of our people practices across talent management, leadership development, wellbeing, and inclusion. Colleague engagement and participation levels continued to strengthen, supporting improved performance, customer experience, colleague and leadership bench strength.

By connecting colleague experience to brand positioning, #IamAbsa reinforces Absa's standing as a trusted employer and the most reputable Bank in Kenya according to GlobeScan 2025 and a Force for Good. It enables us to demonstrate that our culture is not separate from our strategy, but a critical enabler of it. As we continue to operate across diverse economic cycles, this focus ensures that our people remain engaged, capable, and aligned to our purpose of empowering Africa's tomorrow, one story at a time.

Workers who are not employees

Absa Bank Kenya PLC's operations are supported not only by our full-time employees but also by a diverse group of workers who are not classified as employees. These individuals play a critical role in enabling the Bank to deliver seamless customer experiences, maintain operational resilience, and execute specialised functions across our network.

Categories of non-employee workers

Our non-employee workforce comprises:

- Contracted service providers: Including security personnel, cleaners, facilities support staff, and technology support vendors delivering essential operational services.
- Consultants and professional contractors: Hired for specialised short-term assignments such as IT system upgrades, cybersecurity enhancements, climate risk modelling, project management, and sustainability reporting.
- Interns and trainees not under formal employment contracts: Including participants in youth and graduate programmes, such as ReadytoWork trainees and PWD internship cohorts.

Number of Employees

Aspect	Men	Women	Total
Support staff/workers who are not employees	1 580	1 765	3 345

Innovation, digital transformation and future readiness continued

Oversight and management

To ensure fair, safe, and responsible working conditions, Absa applies a rigorous vendor and contractor management framework that aligns with our human rights, health and safety, and diversity and inclusion commitments. While these workers are employed by third-party organisations, we expect partner firms to uphold our standards through:

- Compliance with labour laws and fair-wage requirements
- Adherence to Absa's Code of Ethics and Supplier Code of Conduct
- Provision of safe and healthy working environments
- Zero-tolerance to discrimination, harassment, or unethical practices
- Appropriate training on data privacy, cybersecurity and customer-handling where relevant

Diversity and inclusion in the non-employee workforce

In line with our commitment to inclusive procurement, we prioritise suppliers who employ women, youth and persons with disabilities (PWDs). A significant proportion of contracted service workers come from these groups, supporting broader economic empowerment and local development.

Health, safety and well-being

Non-employee workers assigned to Absa premises receive appropriate orientation on occupational safety, emergency procedures, security protocols, and conduct expectations. Contractors performing high-risk tasks—such as facilities maintenance and technical installations must comply with Absa's safety standards and undergo additional training.

Integration into Absa's operating model

Although non-employee workers are not included in our total employee count or HR systems, they contribute meaningfully to our operations. Their inclusion under this disclosure ensures transparency on the composition and management of our wider workforce ecosystem. As we strengthen our sustainability reporting in line with global best practice, we remain committed to expanding oversight mechanisms that promote equitable treatment and uphold the dignity of all individuals engaged in delivering our services, whether directly or through partners.



Resilience, risk management and sustainable performance

Resilience, risk management and sustainable performance

Absa Bank Kenya strengthens resilience, risk management, and sustainable performance by fostering innovation and continuous improvement alongside a strong risk framework. The Bank builds agility through leadership development, future-ready skills, and responsible use of advanced technologies like artificial intelligence. These measures help identify and address emerging risks while supporting growth, stakeholder value, and alignment with responsible business practices and long-term strategy.

Enterprise risk management

Absa Bank Kenya's risk management framework is a comprehensive system designed to safeguard the interests of its customers, business operations, shareholders, and the wider community. This framework, known as the Enterprise Risk Management Framework (ERMF), serves as the guiding structure for how the Bank approaches, identifies, and manages risk throughout the organisation as follows:

1. The framework establishes a strong risk culture across all levels of the Bank. This involves promoting an environment where every employee is aware of, and responsible for, identifying and managing risks in their daily activities. The risk culture is underpinned by clear communication, regular training, and a commitment from leadership to uphold risk management as a core value.

2. The framework governs the identification of risks by providing structured processes and tools. This includes regular risk assessments, scenario analysis, and stress testing to anticipate potential threats, whether they stem from market volatility, operational challenges, regulatory changes, or emerging risks such as those related to climate and sustainability. The framework ensures that risks are not only identified but also prioritised based on their potential impact and likelihood.

3. The framework outlines how risks are organised and managed within the Bank. This involves clearly defined roles and responsibilities, with dedicated risk management teams working in collaboration with business units. There are established policies and procedures for risk mitigation, monitoring, and reporting, ensuring that risks are managed proactively and in alignment with the Bank's strategic objectives. Regular reviews and audits are conducted to ensure ongoing effectiveness and compliance with regulatory requirements.

Overall, Absa Bank Kenya's robust approach to enterprise risk management supports the Bank's resilience and sustainable performance. By embedding a strong risk culture, systematically identifying risks, and implementing effective management strategies, the Bank is well-positioned to navigate uncertainties and deliver long-term value to all its stakeholders.

The ERMF is based on best practices globally, and regionally this includes:

- International Organisation for Standardisation (ISO) 31000: 2018, Risk management — Guidelines
- Committee of Sponsoring Organisations of the Treadway Commission (COSO) Enterprise Risk Management — Integrated Framework
- Basel Committee on Banking Supervision (BCBS) guidelines on corporate governance principles for Banks
- King V Report on Corporate Governance for South Africa, 2025 (King V)
- Regulation 3.8.3 (Principle 8) of the Central Bank of Kenya Prudential Guideline on Corporate Governance (CBK/PG/02)



Resilience, risk management and sustainable performance continued

Climate risk and opportunity identification

To assess the nature, likelihood, and magnitude of sustainability and climate-related risks, we have integrated these risks into our issue classification matrix. We have categorised our portfolios into sectors based on their level of risk exposure. To determine ESG risks in the credit process, we adhere to CBK's climate risk disclosures framework including utilising heat maps to assess our clients' climate risks.

Screening for sustainability and climate risk

Absa has identified its primary exposures to environmental and social risks as follows:

- Climate change presents considerable challenges to customers, heightening the probability of loan defaults and insurance claims arising from adverse climate events. Long-term shifts in weather patterns may negatively impact business models, necessitating innovation and adaptation. Additionally, the transition towards low-carbon operations introduces the risk of stranded assets, as outdated sectors face regulatory pressures and evolving consumer preferences. These evolving climate factors may consequently influence our financial position, performance, and future outlook.
- The management of dynamic social trends such as the unique needs of a growing youth demographic, increasing digitalisation, urbanisation, and socio-economic concerns introduces both opportunities and risks, including issues related to data protection, cybersecurity, fraud, insecurity, and financial exclusion. For Absa, balancing adaptability to these social dynamics with rigorous risk management is crucial for sustainable value creation and maintaining brand relevance.
- Stakeholders including customers, investors, and regulators increasingly expect the integration of sustainability risk management practices into core business activities. This growing scrutiny adds further impetus for the evolution of our business models to address sustainability and climate considerations.

Absa Bank Kenya was among the first Public Interest Entities (PIE) to adopt IFRS S1 and S2 for its 2024 Sustainability and Climate Report, continuing this commitment into 2025. During our initial year of implementation, we conducted a gap analysis to establish a baseline to understand the Bank's position against the requirements set out in IFRS S1 and S2 for Absa Bank Kenya. The process of identifying climate-related risks and opportunities is now integrated into our Enterprise Risk Management Framework (ERMF).

The overarching approach to managing sustainability and climate-related risks is guided by the Absa Group Sustainability Risk framework. This framework is reflected throughout the Bank's ERMF, which identifies eight principal risks spanning financial and non-financial domains. Sustainability is considered across all these areas, demonstrating our dedication to responsible banking that drives financial performance while promoting environmental stewardship and social responsibility. Sustainability is viewed as a universal risk, including market, operational, and credit risks.

By embedding sustainability in our risk management processes, we can proactively recognise challenges related to sustainability and climate change, allowing us to make strategic decisions aligned with long-term objectives. This comprehensive strategy helps us stay resilient amid changing market conditions and contribute positively to both the communities we serve and the wider environment. Ultimately, our focus on sustainability strengthens stakeholder value creation and supports a transition toward a more sustainable economy.



Resilience, risk management and sustainable performance continued

Sustainability and climate risk management are integral to the Bank's strategy as it addresses the challenges presented by a dynamic environmental and social context. Incorporating these risks into the Bank's frameworks enables Absa to identify potential vulnerabilities within its portfolios and operations and implement appropriate mitigation strategies. This process includes comprehensive evaluations of environmental, social, and climate-related impacts, the development of sustainable business practices, and the advancement of sustainable and climate finance solutions. Robust sustainability and climate risk management not only safeguards the Bank's operations but also supports the transition toward a more sustainable future.

The system incorporates an Environmental and Social Risk Assessment (ESRA) tool, which facilitates the identification of sustainability and climate risks at both portfolio and transaction levels. The ESRA tool also utilises exposure metrics, thereby enabling the Bank to operate within defined ESG risk parameters.

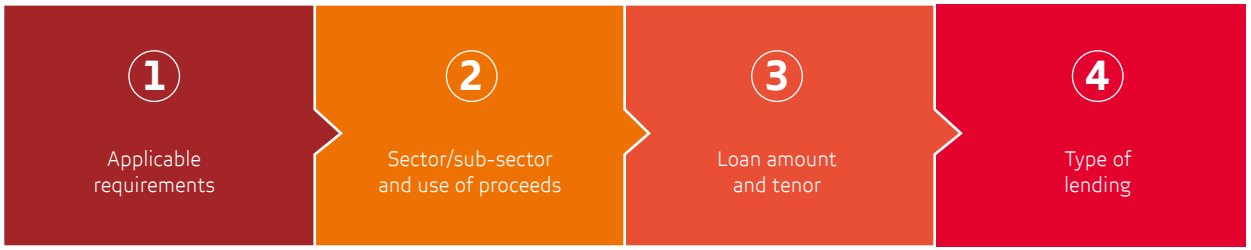
Step 1
Sector E&S risk Classification:
High risk (Category A) and Medium risk (Category B)

Step 2: Sub-sector E&S risk Classification using SIC/BIC codes
High risk (Category A) and Medium risk (Category B)

Step 3:
- Eligibility for DFI (e.g IFC, CDC, MIGA, Proparco, AfDB) funding in line with requirements/submitted project pipeline
- Expected E&S risks/impacts associated with use of proceeds

Step 4:
- Screen in line with requirements from the applicable DFI
- Conduct an Environmental and Social Due Diligence

The Environmental and Social Management System, coupled with the Environmental and Social Risk Assessment (ESRA) tool, support in identifying, managing, mitigating, and monitoring the environmental and social risks and opportunities associated with financed activities.





Scenario analysis and stress testing (climate, social, operational)

Our approach to sustainability risk is guided by understanding the potential ESG impact associated with lending activities and a commitment to influence and support proper risk identification and management using effective management systems, processes and appropriate standards. We will continue to invest in developing strong risk identification, assessment and measurement capabilities to support our efforts with respect to sustainability risk management. Due to the transmissive nature of sustainability-related risks, they are integrated into the existing enterprise-wide risk universe and frameworks and are managed according to our three lines of defence model.

To evaluate the nature, likelihood, and magnitude of sustainability and climate-related risks, we have incorporated these risks into our issue classification matrix. Our portfolios are categorised by sector according to their respective levels of risk exposure. In assessing ESG risks within our credit process, we comply with CBK's climate risk disclosure framework, leveraging tools such as heat maps to analyse our clients' climate risk profiles.

Quantitative impacts of anticipated financial effects of sustainability and climate-related risks and opportunities

In accordance with IFRS S2, entities are required to disclose the effects of climate-related risks and opportunities on their financial position, performance, and cash flows over short-, medium-, and long-term horizons.

- Short-term (1–3 years): Increased provisioning for climate-sensitive sectors; upfront costs for compliance and retrofitting (e.g., smart metering reduced Scope 2 emissions by 41%).
- Medium-term (3–5 years): Lower credit risk from climate-resilient borrowers; improved ESG ratings reduced cost of capital.
- Long-term (>5 years): Enhanced resilience and market share in green finance; potential stranded assets avoided.

For Absa Kenya, such impacts are primarily observed through the following channels:

Credit risk: Physical risks, including droughts and floods, contribute to an increase in non-performing loans (NPLs) within the agriculture and real estate sectors. Stress testing in Kenya indicates higher default probabilities under severe climate scenarios, adversely affecting profitability and capital adequacy ratios.

Operational risk: Transition risks (e.g., technologies, carbon pricing, regulatory compliance) raise costs for energy-intensive operations and financed clients. Initial cost of solarising our four branches caused an increase in expenditure in 2025 to the tune of Shs 11.5 million. None of our branches was impacted by physical climate risks during the reporting period.

Revenue opportunities: The introduction of sustainable finance products, including Eco-Home Loans has resulted in additional revenue streams. In 2025, Absa disbursed Shs 6.5 billion in sustainable financing, particularly supporting initiatives in renewable energy, energy efficiency, and Eco-Home Loans.

Portfolio reallocation: Absa had committed to allocate 10% of its portfolio to green assets by the end of 2025. It seeks to increase sustainable finance to atleast 30% by 2030, redirecting lending towards renewable energy, energy efficiency, and climate-smart agriculture. While this strategic shift has reduced exposure to carbon-intensive sectors, it has also entailed certain short-term restructuring costs.



Resilience, risk management and sustainable performance continued

Impact of sustainability and climate risk on business model and strategy

Absa Bank Kenya PLC operates in a dynamic environment where sustainability and climate-related risks directly influence our business model, strategy, and long-term resilience. In 2025, these risks became more pronounced as regulatory expectations intensified, climate events increased in frequency, and market preferences continued shifting towards sustainable and climate-aligned products.

Our approach is informed by the IFRS S1 and S2 standards adopted in 2025 (our second year of implementation), ensuring that climate and sustainability considerations are integrated into our strategic planning, capital allocation, and enterprise risk management processes.

Sustainability and climate risks are embedded into:

- Credit underwriting and portfolio management through climate and ESG risk assessments.
- Operational resilience planning, including continuity preparedness for climate-driven disruptions.
- Product and innovation strategy, emphasising green finance, inclusive finance, and customer-centric digital services.
- Governance and oversight, with Board and management accountability for climate and sustainability matters.

This is set out as follows: the material sustainability-related risks and climate-related risks relevant to 2025, the nature of these risks, and how the Bank continues to respond.

Risks	Nature of Risk	How the Bank Responds
Social cohesion and inclusion	Rising inequality, economic vulnerability, and weakened sector performance may increase customer fragility, social tension, and credit stress.	• SME and micro-enterprise support through tailored business banking propositions. • Financial inclusion via Timiza, Absa Next, women/youth products. • Community development through Absa Kenya Foundation programmes. • Employability and financial literacy support through ReadytoWork. • Advocacy and partnerships to drive inclusive economic growth.
Retention of critical talent	Competition for specialised skills in sustainability, risk, tech, credit, and data may impact delivery of strategic and digital transformation priorities.	• Strengthened EVP, leadership academies, and growth pathways. • Succession planning and targeted capability building. • Investment in digital, ESG, and AI-related capability development.
Cyber-attacks, data loss, fraud	Increased digital adoption heightens exposure to cyber-crime, identity theft, fraud, and data privacy breaches.	• Advanced cyber-security controls, continuous system upgrades. • Intelligent real-time fraud monitoring tools. • Data privacy strengthening aligned to the Data Protection Act. • Continuous customer and employee fraud-awareness campaigns.

Resilience, risk management and sustainable performance continued

Sustainability and climate strategy

Absa Bank Kenya's sustainability and climate strategy in 2025 continued to focus on integrating climate-related considerations across governance, risk management, portfolio steering, and value creation. Through our adoption of IFRS S1 and S2, we strengthened disclosure quality, enhanced modelling of physical and transition risks, and expanded sustainable finance offerings.

We classify climate-related risks into transition risks and physical risks, each of which carries implications for credit quality, operational resilience, capital allocation, and customer demand.

Transition risks

For Absa Bank Kenya, transition risks refer to the challenges and uncertainties that arise as the economy shifts towards a lower-carbon, more sustainable future. These risks are driven by changing regulations, evolving market expectations, and the increasing demand for sustainable products and services. As new environmental policies are introduced and societal preferences shift, Absa must adapt its strategies and operations to remain compliant, competitive, and responsive to stakeholder needs. This transition can affect the Bank's portfolio composition, operational approaches, and long-term growth opportunities.

Risks	Nature of Risk	How the Bank Responds
Policy and regulatory changes	Increasing environmental, social, climate, Anti Money Laundering (AML), Financial Action Task Force (FATF) and producer-responsibility regulations may increase compliance requirements and influence portfolio composition.	• Regulatory monitoring and compliance preparedness. • Active participation in national and industry climate dialogues. • Implementation of decarbonisation strategy and transition planning. • Support to clients preparing for emissions reduction and green compliance.
Changing consumer demand	Customers increasingly prefer sustainable, climate-aligned products and energy-efficient homes, requiring product innovation and portfolio shifts.	• Expansion of Eco Home Loan and other green financing solutions. • Development of sustainable/green credit value propositions. • Support to customers adopting climate-smart, circular, and energy-efficient solutions.

Physical risks

Physical risks for Absa refer to the direct impacts of climate change and environmental events on the Bank's operations, assets, and clients. These risks primarily arise from extreme weather events such as flooding, drought, and heatwaves, which can disrupt key sectors including agriculture, transport, real estate, and manufacturing. Such disruptions may lead to increased credit risk, as borrowers struggle with reduced productivity or asset damage, as well as operational risks if bank branches or digital infrastructure are affected. Furthermore, physical risks can reduce the value of collateral held by the Bank, thereby influencing lending decisions and portfolio stability. Proactively addressing these risks involves integrating climate-related assessments into credit processes and developing resilience strategies for both the Bank and its clients.

Risks	Nature of Risk	How the Bank Responds
Extreme weather events (flooding, drought, heatwaves)	Increasing climate events affecting agriculture, transport, real estate, and manufacturing pose credit, operational, and collateral risks.	• Integration of climate physical risk into credit assessments. • Portfolio-level climate scenario analysis for physical risk exposure. • Resilience planning for branch infrastructure and digital systems. • Climate-smart and adaptation-oriented financial products for clients.

Resilience, risk management and sustainable performance continued

Overview of current and anticipated financial effects

Sustainability and climate risks affect our operations and profitability. Current financial effects reflect impacts within the reporting year, showing the Bank's present risk management capabilities. Anticipated effects refer to potential long-term impacts from future sustainability and climate changes, which are often uncertain and varied.

Details on how these risks and opportunities influence our financial position, performance, and cash flows both now and over the short, medium, and long term are provided below:

Nature of Risk / Opportunity	Current Year Effect (2025)	Significant Risk of Material Adjustment (Next Reporting Cycle)	Anticipated Financial Effects (Short, Medium, Long Term)
Social cohesion and inclusion	No material financial impact observed, although household pressures persisted.	None	• Medium-term macro pressures may affect credit flows and SME liquidity. • Long-term financial inclusion expected to broaden revenue and stabilise portfolios.
Retention of critical talent	Turnover remained within expected range; capability-building investment sustained performance levels.	None	• Continued capability development improves productivity and leadership continuity. • Long-term reduction in HR-related risk and strengthened strategic delivery.
Cyber-attacks, data loss, fraud	Fraud and cyber incidents persisted but mitigated by enhanced fraud-management tools and controls.	None	• Lower long-term fraud losses due to improved systems. • Enhanced cyber resilience improves customer trust and reduces operational disruptions.
Changing consumer demand (Transition risk)	No material impact in 2025; increased customer uptake of green offerings observed.	None	• Growth in sustainable finance expected to increase revenue and market share. • Long-term competitive positioning enhanced through climate-aligned product demand.
Flooding (Physical risk)	Localised flooding had no direct material financial impact on the Bank.	None	• Increased credit risk in climate sensitive sectors. • Long term adjustments to collateral valuation models. • Higher operational continuity and insurance related costs likely.

Financial resilience and sustainable value creation

In 2025, Absa Bank Kenya PLC demonstrated strong financial resilience and an unwavering commitment to sustainable value creation, despite operating in a dynamic macroeconomic and regulatory environment. The year was characterised by moderating inflation, stabilising foreign exchange markets, shifting monetary policy, and continued fiscal pressures. Even within this complex landscape, the Bank maintained robust performance through disciplined execution, prudent balance-sheet management, and accelerated transformation anchored on innovation and customer-centricity.

Strengthening financial resilience

Absa's financial resilience in 2025 was anchored on three core pillars: solid profitability, diversified revenue streams, and strong capital and liquidity positions.

1. Strong and stable financial performance

The Bank delivered Shs 22.9 billion in profit, reflecting 10 % year-on-year growth, underpinned by strategic pricing, disciplined cost management, and strong customer franchise performance. Despite a 2 % revenue decline due to lower interest rates, Absa's diversified model enabled non-funded income to grow by 13%, driven by custody services, asset management, digital payments, and wealth solutions.

Return on Equity (ROE) remained strong at 22.8%, significantly above the cost of capital. This affirmed the Bank's ability to deliver stable shareholder returns amidst economic headwinds.

2. Disciplined cost and risk management

Operating costs increased modestly by 5%, reflecting continued investment in digital platforms, strategic initiatives, and operational efficiency gains. Automation and process optimisation helped maintain a Cost-to-Income Ratio of 37%.

Credit impairment reduced by 37%, supported by improved collections, recoveries, and enhanced underwriting models. Gross NPLs stood at 11.4%, outperforming the industry average of 16.5%, reflecting prudent risk stewardship.

3. Robust capital and liquidity buffers

Absa maintained strong capital adequacy and liquidity positions well above regulatory thresholds, with a capital adequacy ratio of 21% and liquidity reserves of 45.6% against CBK's minimum of 20%. These buffers position the Bank strongly to support planned strategic growth, absorb shocks, and comply with evolving regulatory requirements, including increased core capital thresholds.

Driving sustainable value creation

Sustainable value creation remains central to Absa's strategy integrating economic, environmental, social, and governance considerations into every aspect of its business model.

1. Customer-centric growth and transformation

Absa's digitally powered transformation accelerated significantly, with 94% of transactions processed through alternative channels and 71% of processes automated, resulting in improved uptime and customer experience. Innovations such as Eco-Home Loans, Absa Next, digital payments, and wealth platform enhancements expanded access to sustainable finance and financial inclusion.

The Bank strengthened ecosystem models, deepening relationships across enterprise value chains, SME clusters, and dealer networks to drive market penetration and broaden economic participation.

2. Commitment to ESG and climate leadership

Absa advanced its ESG ambitions through:

- Scaling climate-aligned financing (green buildings, renewable energy, energy efficiency)
- Aligning to IFRS S1 and S2 sustainability reporting standards ahead of the 2027 deadline
- Integrating climate risk into credit decisioning, including EWI dashboards and climate stress testing
- Planting 283,000 trees in 2025, contributing to 1.7 million trees planted cumulatively
- Supporting inclusive procurement with 22% of suppliers representing women, youth and PWD-owned enterprises.

These initiatives support Kenya's transition to a low-carbon economy and align Absa with global sustainability expectations.

3. Empowering People and Communities

The Bank invested significantly in talent development through leadership academies, digital skills programmes, and diversity and inclusion initiatives. Absa maintained its Top Employer certification for the fourth consecutive year, affirming its position as a home of talent and diversity.

Through the ReadytoWork programme, Absa trained over 37 930 youth in 2025 (300,000 cumulatively), supported SMEs through financial literacy initiatives, and invested in community uplift projects across education and environmental conservation.

4. Transparent, Ethical Governance

Absa reinforced governance structures by strengthening data governance, fraud controls, ISO 20022 payment standards, cybersecurity resilience, and internal oversight frameworks. Proactive compliance with new regulations, including Kenya Shilling Overnight Interbank Average (KESONIA), climate reporting, AML/CFT frameworks, and the Data Protection Amendment Bill 2025, reflects Absa's commitment to ethical and responsible banking.

Positioned for long term sustainable growth

Absa Bank Kenya PLC's 2025 performance underscores its ability to withstand economic volatility while delivering strong financial outcomes and meaningful societal impact. By combining disciplined financial stewardship with digital transformation, sustainability leadership, and stakeholder centric growth, the Bank has strengthened its base and is well positioned to unlock long term value for shareholders, customers, employees, regulators, and the communities it serves.

Looking ahead: 2026 and beyond

Looking ahead: 2026 and beyond

As we move beyond 2025, we will continue to execute the following sustainability and climateconsiderations.

The coming years will be defined by deeper integration of sustainability into core banking decisions, sharper regulatory expectations, and a stronger focus on measurable outcomes. Our forward-looking priorities reflect both the realities of the Kenyan economy and the evolving role of banks as catalysts for resilience, inclusion and long-term value creation.

Key priorities and targets for the coming years

Embedding sustainability into everyday banking

From 2026 onwards, Absa's focus will be on ensuring that sustainability continues to be viewed as a core lens through which credit, investment, procurement and operational decisions are made. This includes further integrating environmental and social risk assessments into lending decisions, particularly for climate-sensitive sectors such as agriculture, real estate, manufacturing and transport.

In efforts to support more informed pricing, capital allocation and customer engagement, the Bank will prioritise strengthening the use of climate and ESG data in decision-making. Building on the foundations laid through IFRS S1 and S2 adoption, the Bank will continue to improve the quality, consistency and granularity of data used to assess risk and opportunity across the portfolio.

Scaling climate and sustainable finance

The years ahead present a significant opportunity for Absa to scale its role in financing Kenya's transition to a low-carbon and climate-resilient economy. Priority will be given to expanding climate finance solutions across renewable energy, energy efficiency, green buildings, climate-smart agriculture and nature-based solutions.

The Bank will continue to grow inclusive finance offerings for SMEs, women, youth and persons with disabilities, recognising their central role in employment creation and economic resilience.

Strengthening operational resilience and decarbonisation

Operationally, Absa will continue progressing towards its net zero ambitions by investing in energy efficiency, renewable energy solutions and greener buildings. Over the coming years, emphasis will be placed on reducing reliance on fossil fuel-based backup power, increasing green-certified premises and improving resource efficiency across branches and offices.

Alongside decarbonisation, climate adaptation and resilience will become a stronger area of focus. This includes enhancing business continuity planning for extreme weather events, strengthening data centres and digital infrastructure, and ensuring that operational resilience keeps pace with climate risks affecting Kenya and the region.

Regulatory outlook

A more demanding and standardised disclosure environment

The regulatory landscape for sustainability and climate reporting is expected to become more structured and demanding from 2026 onwards. Regulators are moving steadily from guidance to expectation, particularly around climate risk management, financed emissions and the financial impacts of sustainability risks.

In Kenya, continued implementation of climate-related risk management guidance from the Central Bank of Kenya, alongside growing alignment with international standards such as IFRS S1 and S2, will require banks to demonstrate not only disclosure capability, but also robust internal governance, controls and decision-useful reporting.

Increased focus on climate risk in prudential supervision

Climate risk is expected to feature more prominently in supervisory reviews, stress testing and capital adequacy discussions. For Absa, this reinforces the importance of embedding climate considerations into enterprise risk management, credit risk models and portfolio monitoring.

At the same time, regulatory developments around sustainable finance taxonomies and transition finance are likely to create both clarity and opportunity. Banks that are prepared will be better positioned to support clients in aligning with national and regional climate objectives while managing transition risk responsibly.

Planned enhancements

From compliance to insight-driven reporting

Over the next reporting cycles, Absa will focus on moving beyond compliance-oriented disclosure towards more insightful, decision-useful sustainability reporting. This includes clearer articulation of how sustainability and climate risks affect financial performance, strategy and capital allocation, as well as how opportunities are being translated into growth areas for the business.

The Bank plans to continue refining its metrics, targets and scenario analysis, particularly in relation to financed emissions, physical climate risk exposure and sector-specific transition pathways. Greater use of geospatial tools, portfolio analytics and forward-looking indicators will support this evolution.

Stronger integration across teams and systems

Internally, enhancements will focus on strengthening collaboration between sustainability, risk, finance, credit and business teams. Sustainability considerations will increasingly be embedded into existing systems and processes, rather than managed through standalone tools.

Investment in skills and capability building will remain critical. As expectations around climate, data and ESG continue to rise, Absa will prioritise developing internal expertise across climate risk, sustainable finance, data analytics and regulatory reporting, ensuring the organisation remains agile and future ready.

Looking forward with confidence

The years ahead will bring complexity, uncertainty and heightened scrutiny for the financial sector. However, they also present a clear opportunity for Absa Bank Kenya to build on its strengths: strong governance, an established sustainability framework, early adoption of global standards and a deep understanding of the local context.

By continuing to align sustainability with strategy, risk management and innovation, Absa aims not only to meet rising expectations, but to shape a more resilient, inclusive and sustainable financial system. Looking ahead to 2026 and beyond, sustainability will remain central to how the Bank creates value for its customers, shareholders, communities and the wider Kenyan economy.

Looking ahead: 2026 and beyond continued

From 13 commitments to four strategic priorities: Accelerating sustainable value creation through measurable impact (2026–2030)

Building on a decade of sustainability leadership, Absa's refreshed Sustainability Strategy translates our legacy commitments into four focused priorities with clear 2030 targets that drive growth, resilience, decarbonisation and inclusive development.

I agree. The narrative needs to explicitly link the legacy of the 13 commitments to the new measurable targets shown in the strategy-on-a-page. The story is not simply that Absa has a new strategy; it is that Absa is transitioning from a commitment-based framework to a target-based sustainability strategy with defined business outcomes by 2030.

Sustainability Strategy 2026–2030: Building on a legacy of impact

Over the past decade, Absa's 13 Sustainability Commitments have served as a powerful framework for embedding sustainability into decision-making, strengthening governance, advancing financial inclusion, supporting communities, promoting responsible environmental stewardship and contributing to Africa's sustainable development agenda. These commitments enabled meaningful progress across environmental, social and governance (ESG) priorities while aligning the Bank's activities with key Sustainable Development Goals.

As the sustainability landscape evolves, Absa is entering the next phase of its journey. The retirement of the 13 commitments does not signify an end to the progress achieved; rather, it marks a transition to a more focused, measurable and business-integrated Sustainability Strategy for 2026–2030.

The new strategy builds directly on the foundations established by the 13 commitments, while sharpening our focus on the areas where we can create the greatest sustainable impact for our clients, communities, shareholders and the environment. It reflects a shift from broad commitments to four strategic priorities supported by clear performance targets and business outcomes.

Accelerating growth in sustainable finance

Absa will leverage its position as a leading pan-African bank to support the transition to a more sustainable and inclusive economy. Building on our existing sustainable finance and financial inclusion initiatives, we aim to increase our sustainable finance to atleast 30% of the lending portfolio by 2030, supporting investments in renewable energy, green buildings, sustainable agriculture, climate adaptation, nature finance and other transition opportunities.

At the same time, we will deepen financial inclusion by expanding access to financial and non-financial solutions for underserved segments, including women, youth and SMEs. By integrating sustainability into customer value propositions, we will enhance customer experience while contributing to socioeconomic development across our markets.

Driving Net Zero and decarbonisation

Climate action remains central to our sustainability ambition. Building on previous commitments to environmental stewardship and climate resilience, Absa will accelerate efforts to reduce its environmental footprint and support the decarbonisation of the wider economy.

By 2030, the Bank aims to achieve a 50% reduction in operational emissions and realise 25–30% improvements in resource efficiency through energy optimisation, sustainable buildings, digitalisation and operational excellence initiatives. Beyond our own operations, we will continue supporting customers, suppliers and value-chain partners in their decarbonisation journeys through climate finance, ESG advisory services, Environmental and Social Management Systems (ESMS) and enhanced environmental and social risk screening.

These actions support our long-term ambition of achieving net zero operations by 2050 while contributing to Africa's transition toward a low-carbon future.

Managing sustainability risks and governance

Effective governance remains fundamental to preserving long-term value. As sustainability-related regulations, disclosure requirements and stakeholder expectations continue to evolve, Absa will strengthen its ESG risk management and governance capabilities.

The Bank's ambition is to maintain 100% compliance with new and emerging sustainability-related regulatory requirements, standards, audits and disclosure obligations.

This includes strengthening climate risk management, enhancing sustainability reporting capabilities and embedding ESG considerations into business decision-making processes.

By proactively identifying and managing sustainability-related risks and opportunities, Absa will continue protecting stakeholder value while ensuring resilience in an increasingly complex operating environment.

Embedding a sustainability culture and client experience

Achieving meaningful sustainability outcomes requires a workforce and customer base that actively support the sustainability agenda. Building on the people-focused legacy of the 13 commitments, we will foster a culture where sustainability becomes part of everyday decision-making.

By 2030, the Bank targets:

- 100% sustainability awareness among colleagues
- 100% ESG training completion across the workforce
- 100% Sustainable Finance certification for Relationship Managers and Sales teams
- 80% colleague engagement on sustainability initiatives
- 30% sustainability awareness among Personal and Business Banking and SME customers

These ambitions will help create a workforce that is equipped to support clients on their sustainability journeys while strengthening Absa's reputation as a trusted sustainability partner.

Delivering sustainable value creation

The Sustainability Strategy 2026–2030 represents the evolution of Absa's sustainability journey—from commitments to outcomes, from intentions to measurable impact. While the 13 Sustainability Commitments established the foundation, the new strategy introduces a clear pathway toward achieving tangible sustainability, business and customer outcomes.

Together, these priorities reinforce Absa's purpose of "*Empowering Africa's tomorrow, together... one story at a time*" while ensuring sustainability continues to drive growth, resilience, customer value and long-term prosperity across the continent.

Annexures

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GRI disclosure title	Disclosure reference
Disclosure Type-Social (continued)	
GRI 416: Customer Health and Safety	
Disclosure 416-1 Assessment of the health and safety impacts of product and service categories	Not applicable
Disclosure 416-2 Incidents of non-compliance concerning the health and safety impacts of products and services	Not applicable
GRI 417: Marketing and Labelling	
Disclosure 417-1 Requirements for product and service information and labelling	Not applicable
Disclosure 417-2 Incidents of non-compliance concerning product and service information and labelling	Not applicable
Disclosure 417-3 Incidents of non-compliance concerning marketing communications	Not applicable
GRI 418: Customer Privacy	
Disclosure 418-1 Substantiated complaints concerning breaches of customer privacy and losses of customer data	Not applicable
GRI 419: Socioeconomic Compliance	
Disclosure 419-1 Non-compliance with laws and regulations in the social and economic area	Page 107 (IAR)

IFRS S1, S2 checklist

Governance	
Disclosures	**Disclosure Reference**
Which governance body(s), oversee the effective management of Sr/CrROs across the entity?	Pages 49-51
How are responsibilities for Sr/CrROs reflected in the terms of reference, mandates, role descriptors and other related policies applicable to the governance body?	Pages 49-51
How are appropriate skills and competencies of the governance bodies determined or developed to oversee strategy designed to respond to Sr/CrROs?	Pages 99-100
How and how often are those in the governance body(s) informed about the organisation's related risks and opportunities?	Page 49
Explain how those in (1) consider Sr/CrROs when overseeing the entity's strategy, decisions on major transactions, and its risk management process and related policies?	Page 20, pages 24-31 (IAR)
Have those in (1) considered tradeoffs associated with those risks and opportunities?	Page 28 (IAR)
How do those in (1) oversee the setting of targets related to Sr/CrRO, and monitor progress towards those targets?	Page37, pages 24-26 (IAR)
Have related performance metrics been included in remuneration policies? If so, how?	Pages 102-105 (IAR)
Is management directly involved in the Sr/CrRO activities of their entity? Demonstrate how they are involved?	Page 53
Does the management possess sufficient knowledge of all major business lines to ensure that appropriate policies, processes, controls and risk monitoring systems are in place and that accountability and lines of authority are clearly delineated?	Page 53
How has the management deployed the appropriate skills to ensure that appropriate processes, controls and procedures are carried out to monitor, manage and oversee Sr/CrRO's?	Page 53
Is the management role delegated to a specific management-level position or management-level committee? How is oversight exercised over that position or committee?	Page 53
What controls and procedures are used to support the oversight of Sr/CrRO? How are these controls and procedures integrated with other internal functions?	Page 53
Strategy	
Disclosures	
Identify and describe Sr/CrRO that could reasonably be expected to affect the entity's prospects.	Pages 23-24, 69-71, pages 45-61 IAR
How are key stakeholders engaged on sustainability and climate related issues to better enable the institution to develop strategies to address relevant concerns?	Pages 26-28
Categorise each identified climate related risk as either a physical risk or transition risk.	Pages 69-71
Specify the time horizons—short, medium or long term—over which the effects of each of those Sr/CrRO could reasonably be expected to occur.	Pages 45-46 (IAR)
Explain how the time horizons link to the planning horizons used for the entity's strategic decision making.	Page 71
Describe the current and anticipated effects of Sr/CrRO on the entity's business model and value chain.	Pages 69-71
Where in the entity's business model and value chain are Sr/CrRO concentrated? (for example, geographical areas, facilities and types of assets)	Pages 70-71
Describe how the entity responded to, and plans to respond to, Sr/CrRO in its strategy and decision-making	Page 34
Describe any current and anticipated changes to the business model attributable to climate-related risks and opportunities including changes in resource allocation e.g., plans to manage or decommission carbon, energy or water-intensive operations, changes in demand or supply chain, or investments and expenditure, including on research and development, acquisitions and divestments?	Pages 70-71, pages 38-41 (IAR)
Describe any current and anticipated direct mitigation and adaptation efforts, for example, energy use, fleet management, employee commute, water consumption, resource consumption and usage of paper.	Pages 31-35

IFRS S1, S2 checklist continued

Strategy (continued)	
Disclosures	
Describe any current and anticipated indirect mitigation and adaptation efforts, (for example, through working with customers and supply chains)	Pages 31-35, 70-71
Details on any climate-related transition plan the entity has, including information about key assumptions used in developing its transition plan, and dependencies on which the entity's transition plan relies.	Pages 31-35
Details of how the entity plans to achieve any climate-related targets including greenhouse gas emissions targets it has set and any targets it is required to meet by law or regulation	Page 32
How is the entity resourcing or plans to resource the activities attributable to climate-related risks and opportunities?	Pages 39-40
What's the progress against plans the entity has disclosed in previous reporting periods? Include both quantitative and qualitative information	Page 11-13
Describe how the entity considered trade-offs between SrRO e.g. cost of training employees vis a vis skill development	Page 52
Describe the current and anticipated effects of Sr/CrRO on the entity's business model and value chain.	Page 71
Over the short-, medium- and long-term, disclose quantitative and qualitative information about the financial effects of Sr/CrRO. Include how the entity expects its financial position to change, given its strategy to manage Sr/CrRO, taking into consideration: • Investment and disposal plans, and, • Its planned sources of funding to implement its strategy	Page 71
Disclose quantitative and qualitative information about how the entity expects its financial performance and cash flows to change over the short, medium and long term, given its strategy to manage Sr/CrRO.	Page 71
Disclose information that explains the entity's capacity to adjust to the uncertainties arising from Sr/CrRO. Include, where applicable, quantitative and qualitative assessment of the resilience of its strategy and business model and explain how and when the organisation carried out that assessment	Page 34
For climate-related risks and opportunities, an entity shall use climate-related scenario analysis to assess its climate resilience and disclose: • The implications of the entity's resilience assessment, including potential responses to the possible outcomes identified in the scenario analysis; • Areas of uncertainty that affect the organisation's resilience assessment; • The organisation's capacity to adjust its strategy and business model over the short, medium and long term.	Page 39
For climate-related risks and opportunities, disclose how and when the organisation did its climate-related scenario analysis, including how many and what type of scenarios the organisation used and why Include the time horizons and scope of operations to which the analysis applied.	Page 39
For climate-related risks and opportunities, what were the key assumptions made in the scenario analysis?	Page 39
For climate-related risks and opportunities, what was the reporting period in which the climate-related scenario analysis was carried out?	Page 39

IFRS S1, S2 checklist continued

Risk Management	
Disclosures	
How does the entity identify, assess and prioritise sustainability/ climate-related risks?	Pages 65-67
How does this process monitor sustainability/ climate-related risks?	Page 65
What inputs and parameters (for example, information about data sources and the scope of operations covered in the processes) does the entity apply to assess, prioritise and monitor sustainability/ climate-related risks?	Page 65
How does the entity apply scenario analysis to inform its identification of sustainability/ climate-related risks? If so, how?	Page 68
How does the entity assess the nature, likelihood and magnitude of the effects of those risks?	Pages 72-74
How does this process consider qualitative factors, quantitative thresholds, or other criteria?	Page 68
How does this process prioritise sustainability/ climate-related risks relative to other types of risk?	Pages 68-70
How has the entity changed the processes it uses compared with the previous reporting period? If so, how?	Page 68
Is scenario analysis integrated into and does it inform the entity's overall risk management framework?	Page 68
How has the entity considered that circumstances might change over time? Which in turn will affect the organisation's approach to scenario and climate-related scenario analysis?	Page 68
How does the entity identify, assess, prioritise and monitor sustainability/ climate-related opportunities relative to other types of opportunities?	Pages 68-70
What inputs and parameters (for example, information about data sources and the scope of operations covered in the processes) does the entity apply to assess, prioritise and monitor sustainability/ climate-related opportunities?	Pages 68-70
What processes does the entity have in place to manage Sr/CrROs?	Page 68
Which Sr/CrROs fall under this process?	Page 68-69
What are the investment and disposal plan for this process??	Page 68
What are the planned sources of funding to implement this process?	Page 68
Metrics and Targets	
Disclosures	
For each Sr/CrRO, what metrics are required by an applicable IFRS Sustainability Disclosure Standard.	Pages 31,35
For each Sr/CrRO, what metrics does the entity use to measure and monitor that SrRO and its performance in relation to that SrRO, including progress towards any targets the organisation has set, and any targets it is required to meet by law or regulation.	Pages 31,35
Do you apply a metric that is taken from another source other than IFRS Sustainability Disclosure Standard? If so, explain: • How the metric is defined; • Whether the metric is an absolute measure, a measure expressed in relation to another metric or a qualitative measure; • Whether the metric is validated by a third party and, if so, which party • The method used to calculate the metric and the inputs to the calculation, including the limitations of the method used and the significant assumptions made.	Pages 31,35

IFRS S1, S2 checklist continued

Metrics and Targets (continued)	
Disclosures	
Which approach, inputs and assumptions does the entity use to measure its GHG emissions?	Page 32
Why has the entity chosen to use the approach, inputs and assumptions it uses to measure the GHG emissions?	Page 32
Have there been any changes in the measurement approach, inputs and assumptions the entity has used during the reporting period? Why were there changes?	Page 32
How are the Scope 1 and Scope 2 GHG emissions disaggregated between the consolidated accounting entity and other investees such as associates, joint ventures and unconsolidated subsidiaries?	Page 37 (IAR)
How are the Scope 2 GHG emissions disaggregated per location, and which are their associated contractual instruments?	Page 32
What categories are included in the entity's measurement of Scope 3 greenhouse gas emissions, according to the categories described in the Greenhouse Gas Protocol Corporate Value Chain (Scope 3)?	Not applicable
Which category 15 GHG emissions are associated with the entity's investments (financed emissions)?	Not applicable
Does the entity apply a carbon price in decision-making? If so, how?	Page 32
Does the entity factor climate related considerations into executive remuneration? If so, how?	Page 53
Which approach has the entity used while setting each target? Has the approach been validated by a third party?	Page 32
How does the entity review each target and monitor its progress against it?	Page 37
Have there been revisions to the targets? If so, why?	Not applicable
How has the entity been performing against each of the set targets? Have there been trends and changes in the entity's performance?	Page 32
For each metric, indicate: 1. The metric used to set the target, 2. The objective of the target, 3. The part of the entity to which the target applies e.g., entire or part of the entity, specific business unit etc. 4. The base period from which progress is measured, 5. Existing milestones and interim targets 6. Whether the quantitative target is an absolute or intensity target 7. How has the target been informed by the latest international agreement on climate change, including jurisdictional commitments that arise from that agreement?	Pages 31-35
Which GHG emissions are covered by the target? In which category (Scope 1, 2 and 3) do these emissions fall?	Page 32
Is the target a gross GHG emission target or a net GHG emission target? If net, has the entity separately disclosed the associated gross greenhouse gas emission target?	Page 32
Was the target derived using a sectoral decarbonisation approach?	Page 32
To what extent does the entity rely on the use of carbon credit to achieve its net GHG emissions target?	Page 32
Which third-party scheme verified or certified the carbon credits used by the entity?	Page 32
Which type of carbon credit did the entity use?	Page 32

IFRS S1, S2 checklist continued

Metrics and Targets (continued)	
Disclosures	
Was the underlying offset nature-based or based on technological carbon removals?	Not applicable
Was the underlying offset achieved through carbon reduction or carbon removal?	Not applicable
Which other factors may be considered to verify the credibility and integrity of the carbon credits the entity has used/ plans to use?	Not applicable

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Absa Bank of Kenya is regulated by the Central Bank of Kenya

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